

Indegene (INDGN)

Conference call transcripts, oldest-first. 10 call(s). Generated 2026-06-08.

Call: Jun 2024

Indegene Limited (Formerly Indegene Private Limited),
Third Floor, Aspen G -4 Block, Manyata Embassy
Business Park (SEZ), Outer Ring Road, Nagawara, Bengaluru - 560 045, Karnataka, India
Phone: +91 80 4674 4567, +91 80 4644 7777 www.indegene.com
CIN: U73100KA1998PLC102040
INDGN/SE/2024 -25/10

J

une 4, 2024

BSE Limited,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400001, India.

Scrip Code: 544172 National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex, Bandra (E),

Mumbai – 400 051, India.

Trading symbol: INDGN

Dear Sir / Madam,

Sub: Transcript of the Q4FY24 earnings call on financial results for the quarter and financial year ended March 31, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Q4FY24 earnings call held on May 30, 2024 for the quarter and financial year ended

March 31, 2024, conducted after the meeting of the Board of Directors held on May 29, 2024.

The above information will be made available on the website of the Company : <https://www.indegene.com/>

This is for your information and records.

For Indegene Limited

(Formerly known as Indegene Private Limited)

Srishti Ramesh K aushik

Company Secretary and Compliance officer

Page 1 of 17

"Indegene Limited

Q4 FY '24 and FY 24 Earnings Conference Call"

May 30, 2024

MANAGEMENT : M R. MANISH GUPTA - CHAIRMAN AND CHIEF

EXECUTIVE OFFICER - INDEGENE LIMITED

MR. SUHAS PRABHU – CHIEF FINANCIAL OFFICER -

INDEGENE LIMITED

Indegene Limited

May 30, 2024

Page 2 of 17

Moderator: Ladies and gentlemen, good day and welcome to Indegene Limited Q4 FY '24 Earnings

Conference Call . As a reminder, all participant lines will be in the listen -only mode and there

will be an opportunity for you to ask questions after the presentation concludes. Should you need

assistance during the conference call, please signal an operator by pressing star then zero on a touch- tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek. Thank you. And over to you, sir.

Abhishek: Thank you, Zico. A very good morning to all of you and thank you for joining us today for

Indegene's Earnings Conference Call for the fourth quarter and fully ended financial year 2024.

Today we have with us Manish Gupta, Indegene's Chairman and CEO and Suhas Prabhu, CFO,

to share the highlights of the business and financials for the quarter.

I hope you have gone through our results release and the quarterly investor presentation which

have been uploaded on our website as well as the Stock Exchange website. The transcript for this call will be available in a

week's time on the company's website. Please note that today's discussion may be forward-looking in nature and must be viewed in relation to the risk pertaining to our business.

After the end of this call, in case you have any further questions, please feel free to reach out to the investor relations team. I hand over the call to Manish to make his opening remarks.

Manish Gupta: Thank you, Abhishek. Good morning, everyone and thank you for joining our first analyst call as a listed company. We listed on 13th of May, and this is our first call. Once again, thanks a lot for joining us. Given this is our first call post-listing, today I have planned to do the following.

Do a quick recap of the company, especially for those of you who we didn't get an opportunity to meet during our roadshows. We'll talk about the company; we'll talk about the opportunity we

are addressing and talk about the industry a bit and how we see the next few years. Don't worry, we'll also talk about the previous year as well as the previous quarter numbers and our performance. Now, let me get started with the company and again this is more for you - those of you who we could not get an opportunity to meet during the roadshows prior to the IPO.

Indegene is a fairly unique company. Unique definitely in the Indian context and I can confidently say there's no one like us in the market. A few of us started this company more than 25 years back based on the thesis that by bringing deep medical and healthcare expertise together with deep technology expertise, we can solve various problems in the healthcare industry.

All these years, we have stayed true to that purpose. We define our purpose as helping healthcare organizations be future ready. Today in the marketplace, we are known as a digital-first commercialization partner to the global life science industry.

By the global life science industry, we mean the pharmaceutical industry, large and mid-size, medical device industry and the biotech industry. We have 63 active clients and work with all the top 20 global pharmaceutical companies. Our revenues for FY '24 were INR 2,589 crores, which is a 12.3% growth over FY '23. We have around 5,081 employees, out of which 4,422 are delivery employees. Now, out of the delivery employees, 21.5% are from a life science

Indegene Limited

May 30, 2024

Page 3 of 17

background. These are medical doctors, PhDs and pharmacologists working hand-in-hand with data scientists, data engineers, analytics professionals, software engineers on one hand and omnichannel strategists, brand strategists, creative directors and other very specialized profiles on the other hand.

So, as you can see, there is multiple skill sets, multiple functions coming together to

deliver

solutions for our clients. We have 17 offices across the world where we have people with very specialized skill sets - some of the skill sets I alluded to earlier and we need these offices and specialized people working out of these offices because most of our engagements with our clients are global in nature, which means we are helping them across their products, across markets and for a long period of time. I'm going to come back and revisit this later during my talk.

Now, let me just spend some time talking about what I mean by digital-first commercialization partner. I said that we are a digital-first commercialization partner. What does that mean? Now, this means all processes like sales and marketing, pharmacovigilance and drug safety, medical affairs, regulatory and clinical. So, think about all the processes that are required to bring a drug from the lab to the market. Once the company has worked in the lab to come up with a new product, for this new product, there will be a patent filed, FDA approval, let's say, is granted, right, to do clinical trials.

So, all the processes subsequent to that is where we play in as Indegene and add value to our customers. Now, these processes have been done by the industry for a long period of time. What we as Indegene are doing is coming and saying that we can help companies design, execute and run these processes the way they should be in this age of digital and AI.

So, we bring those digital-first and AI-driven approaches to the things we do. We as Indegene engage and work with the business owners, sales and marketing teams, P&L owners, brand teams, global commercial ops, chief medical officers, head of regulatory and safety or clinical operations. Those are the target segments which we address and work inside these companies. So, that's very different from what you've been used to, especially those of you coming from the IT side, where the focus is more on the CIO organization.

Now, we have been reporting and will continue to report our revenues in four segments, Enterprise Commercial Solutions, Enterprise Medical Solutions, Omnichannel Activation Solutions and there's a segment called Others.

Now, Enterprise Commercial Solutions and Omnichannel Activation, these two put together are the segments through which we are addressing the sales and marketing budgets in pharmaceutical companies.

And today, those constitute more than 70% of our revenues. Whereas EMS is a segment where

we are addressing medical affairs, safety and regulatory functions inside in a pharma company. So, they are much more medical in nature, as you can imagine. Within sales and marketing spend, the reason we split it in two parts, Enterprise Commercial Solutions and Omnichannel Activation , is because in Enterprise Commercial Solutions, which Indegene Limited
May 30, 2024

Page 4 of 17

is the largest segment for us, we engage with customers globally, regionally, across all their brands. Our engagements are not at a one brand or two brand level, right, or two product level or a very specific geography level. Our engagements cut across many, many countries and pretty much all the brands for a pharmaceutical company. Whereas in Omnichannel Activation, which today is a smaller percentage of our revenue, we engage at an individual brand or a therapeutic area in a particular country. And primarily, when I say a particular country , for this part of our business, the focus is more on US and a few Western European countries. Our revenues very closely follow the life science industry spend on operations. This is the life science industry. Most of the revenues come from the United States, followed by Europe and then the rest of the world. 65% of our revenues come from the United States, 32% from Europe and the remaining is the rest of the world, which is very close to the life science industry.
The only difference is that we are

slightly more indexed on Europe than what Europe contributes to the global life science industry. Now, 69% of our revenues come from the top 20 global pharma companies, Our customers, as you can imagine, these top 20 global pharmaceutical companies are very large companies. I would reckon most of them will be in the Fortune 500 list and that's our predominant revenue base. This number used to be higher a few years back. If I look at the FY21 numbers, this number used to be 78% because we were much more indexed on the big pharma industry. Over time, as we increased our footprint in sales and marketing, as we made more investments in sales and marketing outreach with scale, while we continued to grow in these top 20 companies, we also acquired new customers . And hence the percentage coming from the top 20 pharma companies has come down from 78% in FY21 to 69% right now. Again, I want to reemphasize that we have grown and continue to grow in all the top 20 pharma companies while increasing our footprint. This also reflects in the number of active customers we have, which went up from 44 in 2020 to 63 in 2024. Now, that's broadly the geographical footprint and the large pharma footprint and midsize pharma footprint we have. I want to spend some more time talking about some of the segments. I spoke about enterprise commercial solutions being enterprise engagement s. These are across brands and across many countries. Enterprise medical solutions is approximately 23% of our business. If you think about it, enterprise commercial plus enterprise medical becomes 82% of our business. Both these businesses are across the portfolio products across countries. We don't have the variability of one brand or two brands. There's a significant portfolio. At one level, you can think about these two segments being a proxy to the entire industry we are playing in, given our client footprint across the world. The reason we as Indegene are excited about the opportunity in front of us is because this is a very large market. Let me focus on our position in the market today.
Indegene Limited
May 30, 2024

Page 5 of 17

The global life science industry is north of \$1.8 trillion in size. Approximately \$10 trillion market cap. The operation spends in the areas which are addressable to us, as we highlighted in the report in our RHP , is more than \$156 billion. Sales and marketing - the place where we have the largest footprint, contributes to 35% of the spend. Spends in these areas are increasing at a rate of 6% to 7% annually. Outsourcing is growing at a much faster rate, around 9% to 14%, depending on the segment. It's higher on the sales and marketing side. Apart from this increase in spend and outsourcing, there's also a shift to digital. More and more from the traditional channels of reps or more people - oriented way of doing things, there's a shift to digital and AI -driven ways of doing things, which increases our addressable market. If you think - global life science companies spend more than 25% of their revenues, on average, on SG&A. And by the way, in that SG&A, sales and marketing is the predominant spend. More than half of the top 30 pharma companies are spending more than 25% in SG&A. They spend approximately 15% on R&D. All this presents an opportunity to use digital solutions to drive better physician and patient engagement while at reduced cost by deploying digital rather than the physical channels or having an omnichannel approach to engagement.

The ROI on R&D investments has been declining year on year and that's no secret. There have been so many articles written on that. Last year, U.S. introduced the Inflation Detection Act. While that's still getting developed, the signs are very clear that it's going to put pressure on the R&D spends and timelines. And again, that presents an opportunity for us to use digital and AI to bring down the cost

and timelines for trials, regulatory submissions and things like that.

Now, those are some of the trends which excite us, and we believe there is a large opportunity in front of us. Given our size in this very large industry and our very strong position in this industry, the client base, capabilities, bunch of things, we believe there is a decadal opportunity to grow for us.

With that, I have to put a caveat. This is a highly regulated and highly conservative industry, so it takes time to adopt new methods.

Now, let me just talk to you about some of our historical performance and historical not necessarily only in context of last year, -- I'll talk about the last decade for us. The last decade, we have grown at a CAGR, revenue CAGR of 31.1%. Even if you exclude the last four years, because COVID was the accelerator for digital adoption and we benefited from that, our CAGR for the six years was 24.6%. So we have a very long track record of growing our revenues. While growing, we have also very early on taken on, what we call 'entrepreneurial spirit with prudence' as one of our core cultural themes.

We also maintain very high and healthy ROC E. Our ROC E have been always pretty much in the range of 34.5 over the last decade, in the broad range of that. And if you adjust for cash and interest income, it comes to pretty much 52.8% or so. Now, given this backdrop, we believe that over the next few years, we'll be creating a much larger and impact -creating company.

Indegene Limited

May 30, 2024

Page 6 of 17

Now the growth will not be linear. So there will be years and quarters of high growth. There will be some quarters and years of lower growth. But nevertheless, we will continue to grow. And while growing, will maintain our profitability and cash flows, which we have done well in this industry.

Given we are very strongly positioned in this area, it's a large industry, but we still are, relative to the size of the industry, small. We want to have some flexibility for ourselves, and we will not be pegging ourselves to specific numbers. We have cash on our balance sheet, which we intend to use for strategic tuck-in acquisitions. And that's something, again, we have done very well.

We've identified acquisitions. We have gone ahead and done those acquisitions at the right prices, integrated the companies, used them to expand our client footprint and solution footprint. We will continue to do that in the future. Right now, we have cash on our balance sheet. So I would suggest that you look at our ROEs, ROC Es, after adjusting for cash and cash equivalents. We feel confident to be able to deploy our funds prudently. That said, even if not, our Board will be more than willing to return our cash to shareholders in the most efficient way.

One of our key focuses ... some of the few key focus areas for us are going to be deepening our client footprints. We have client categories of active clients, more than USD1 million, USD1 to USD10 million, USD10 to USD25 and USD25 million plus. Now moving the clients who are more than USD25 million to USD 50 million plus, USD75 million plus, the ones who are in USD10 million to USD25 million to USD 25 million plus and the USD1 million to USD10 million to USD 10 million to USD 25 million and so on and so forth will be the main driver of growth and focus area for us.

Along with that, we will continue to expand our capabilities, strengthen our capabilities, invest in them, continue to keep them relevant and of course focus on operational efficiency as we have always been doing.

Now, before I pass it on to Suhas, some key highlights for the year gone by.

Revenues : INR2,589.6 crores, up 12.3%. Both our established business segments, ECS and EMS, which constitute 82% of our revenues, grew 11% year-on-year. This has been all organic. Omnichannel activations grew 13%. This includes some revenues from Cult, which was ac

quired in the second half of FY '23.

The segment others grew at 30%, again, all organically. While all our segments are driven by a combination of outsourcing and adoption of digital, our larger segments of ECS and EMS are also driven by level of centralization at customer organizations. We had already spoken about outsourcing, growing at 9% to 14%.

We believe shift to digital and centralization, as themes, will continue to play out and continue to play out given the pressures on compliance, costs and complexities of skill sets required in

EBITDA was INR584.1 crores this year, representing a margin of 22.6%, which is up 28.6% year-on-year. We are focused on improving and getting back our EBITDA levels to where they used to be, and this resulted in good margin expansion.

Net profit was INR 336.7 crores, which is up by 26.5% year -on-year. And this includes some interest costs, we'll be paying down the loan which we have, using the IPO proceeds.

EPS was INR15.07, which is up from INR 11.97 in the previous year.

These are some of the high -level financial stuff. I'll pass it on to Suhas to get into some level of details around the financials. On to you, Suhas.

Suhas Prabhu: Thank you, Manish. Once again, a very good morning to everyone and thank you for your interest in Indegene and your participation on this call today. Before I get into the details of the financial performance for the year and the quarter, I wanted to talk briefly about our historical performance. Over the past many years now, we have not only achieved a robust revenue growth but have done so in a profitable manner. As Manish mentioned already, our revenue CAGR in the last 10 years was a robust 31.1% and during the same period, our EBITDA CAGR has been a higher 41.2%. Even if we dial back to the period prior to COVID, the six -year track record through to March 2020 again remained a healthy 41.4% EBITDA CAGR. This is a testimony to our core belief of entrepreneurship with prudence.

Over these years, we have also made strategic investments and taken calculated buy versus build calls, which has reflected in an ROCE of 34.6% and an ROE of 36% in the 10-year period prior to March '24. Through these years, we have also demonstrated strong corporate governance

practices, thanks to our distinguished board, early investors and advisors.

With that, I'll move to the FY '24 financial highlights. Manish already spoke about the full -year results. Therefore, let me provide a quick snapshot of the fourth quarter of the fiscal year '24.

We clocked revenues of INR 673 crores, which was up 6.5% year -on-year. EBITDA of INR164.3 crores, representing a margin rate of 24.4% and a net profit of INR94.9 crores, up by 90% over the same quarter in the prior year.

Moving on to further details on the margin and revenue for FY '24.

We grew our revenue for the year by 12.3% and, more specifically, the quarter by 6.5%. This was despite the certain challenges faced by our emerging biotech segment customers. Further, towards the end of March 2024, we acquired 100% interest in a medical writing business in the regulatory affairs space called Trilogy, which is headquartered in Germany, Europe.

While we have factored the assets acquired through this transaction in our balance sheet, the size of the business and operations of Trilogy being non-material, there are no accretions to the revenue and margin. And therefore the business performance and the financial performance that

Indegene Limited

May 30, 2024

we have declared for Q4 represents only the organic performance of the business and therefore no impact due to the acquisition of Trilogy.

Further, moving to the margin, our margin expansion for the full year was about 286 bps. This was driven mainly by operational efficiencies and certain productivity initiatives, which

have

favourably contributed to this growth. We believe the changes are systemic and we will continue to drive these initiatives in the days to come. We delivered a healthy net profit margin of 13% for FY '24 and more specifically 14.1% for the quarter ending March 24. And this reflects our focus on both cost optimization and value -driven serviceability.

Now moving on to the segment -wise performance, enterprise commercial solutions and enterprise medical solutions, together these segments contribute to a revenue of INR 2,129.2 crores and has grown 11% year -on-year. The margins in these segments are stable and growing and together this contributes more than 82% of our revenue. Here, we have focused our initiatives on driving operating efficiencies through productivity measures coming out of automation and various people and process improvement activities over the past many quarters. And that also has positively impacted the margin profile of these businesses.

Moving to the next segment of our business, Omnichannel Activation and others, these two combined contributed to INR 460.2 crores of revenue, which is up 18% year -over -year. As I already mentioned, we faced certain difficulties in this segment, largely due to the impact of the tough external environment on the emerging biotech segment, which degrew during the year. And more specifically impacted the Omnichannel Activation business of our business.

And however, this was offset due to the inorganic growth coming from an acquisition that we did back in October 2022 called

CultHealth, which is integrated with the business segment

Omnichannel Activation. These two segments, both Omnichannel Activation and others, are relatively still in the nascency compared to our Enterprise business segments and are not margin accretive as yet. As you would understand, with scale, operating leverage would be the driver for margin expansion in this segment in the future. And having said that, we continue to invest to grow these businesses in the future as well.

Moving to the geographical and industry segments here, from a geographical standpoint, 97% of our business comes from the Americas and Europe region and this reflects the pattern of spends from the global life science industry in these geographies. And this continues to be fairly consistent with our geographical split of revenues, even in the past periods.

Moving on to the industry segments, given the challenges faced by the emerging biotech industry that I have already mentioned, our efforts last year were predominantly focused on expanding our footprint in the existing large and mid-sized biopharma clients. And this segment has grown from 91.3% to 93.8%. The emerging biotech segment has declined from 4.1% to 2.7%. While we remain cautious in our approach today we continue to invest in this segment with a longer-term more focus.

Now coming to the balance sheet our balance sheet has always been strong. More specifically, today as of March 31st, 2024, cash equivalents combined with bank balances were a total of

Indegene Limited

May 30, 2024

Page 9 of 17

INR191 crores, which along with the investments in liquid instruments such as mutual funds, US treasuries etc., which are reflected in the current investments in the balance sheet, constituting INR 796.5 crores, combined provides with ample liquidity.

The debt position ... the debt outstanding as of March 24 was USD47.2 million or approximately INR400 crores. And with the impending repayment of the debt using the proceeds from the IPO soon we will be a zero-debt company. And with that, the interest costs that we are currently incurring should go down to zero and this should have a favourable impact on the earnings going forward.

Finally, the operating cash flows for the year were a very strong INR 514.9 crores again significantly up year-on-year and our free cash flows was north of INR450 c

rores for the year.

Overall, a very solid cash position and a strong balance sheet enables us to invest in strategic growth areas as we continue to grow in the future. We remain committed to delivering value to our clients, shareholders, through deep domain expertise, innovation and operational excellence.

With that, I will conclude the update on the financial performance and will open the floor for questions. Please raise your hands and we will address them one by one.

Moderator: Yes, sir. Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Amresh Kumar from Geosphere Capital. Please go ahead.

Amresh Kumar: Thank you, Manish and Suhas. I hope I am audible. I have two questions. First is on revenue growth and margins. The second is on operations. On the revenue growth we have been growing at 25% plus for more than 10 years, 15 years. Last year growth has come down. I was wondering

if this is an – and similarly on the margins front the last year margins grew significantly by more than 200 basis points. So my question was is this an outcome of deliberate conscious choices or should we be looking at growth and margins in blocks of more than one year and why I am asking this question is that for the market participants the predictability of these numbers is equally important if not more important than the numbers themselves?

My second question would be on your operations front. If you can give a quick into your conversations with your counterparts at your customers, what convinces them to outsource activities that they have been doing in-house for so many years and what are the measures that they use to calculate their own returns on the expenses that they make on outsourcing? So these will be the two questions for the first-time understanding of your company?

Manish Gupta: Thank you so much for those questions. Let me take at least the first and third part which is the revenue growth and what makes our clients buy from us. I will pass on the margin thing to Suhas.

Let's start with growth. See the pharma industry is, I would say, reasonably stable industry. It is fairly resilient to economic cycles, but it has its own innovation cycles, and I will come to that in a while.

Before that one of the things which happened there was an event called COVID and during that point of time pharma industry which was fairly low and behind digital adoption for a very long period of time accelerated their digital adoption which benefited us because we are positioned very strongly as a digital-first partner.

Indegene Limited

May 30, 2024

Page 10 of 17

They did a lot of activity and 24 was one year of consolidation for them. So that's one thing which happened in 24. The other thing which happened is going back to what I said the pharma industry is resilient, but has its own economic cycles. This is an industry which has been growing if you take the last 15 years or so data the industry would have grown north of 6%.

I'm talking about dollar terms over here and pretty much all the years were growth years, apart from, let's say, a blip in 2012 where the industry had de-grown because of a bunch of patent expiries clubbing together in one year. Outside of that it grew. 23 was one more year of dip. The top 30 pharma companies declined revenues by 7.1%. So that was one year and as I said this happens every, call it, 10 years, 15 years or so and then again it picks up. So these are the two broad things which contributed to the revenues slowing down in 24. Nevertheless, we still grew and that's been a track record for a long period of time.

As far as why do our clients buy from us - first of all this industry is used to partnering with external people in a very significant way across the board. They have been working with CROs. It's a very large income. I'm talking about clinical research industries

. They're working

with agencies. They work with contract sales organizations. They work with contract research organizations, the CDMOs, which you are aware of. Even at a research level, they do partnerships with labs, biotech. This is an industry which is very open to partnerships, given the complexity of this industry. What we bring to the table for an industry and the reason we exist today in the form we do, is a

shift which happened to digital, which drove a lot of complexity in how things are done. When you are working, doing sales and marketing, just by a medical rep carrying a calendar type of a printed thing, that was one thing.

But now you're reaching out to your customers using iPads, e-mails, WeChat, integration with electronic medical records, being present on websites where doctors are presenting, I can go on and on. The complexity, the skill sets, technology, domain required and across, call it 40

countries, 50 countries, is nontrivial.

That's where a company like Indegene, which comes around with a combination of medical expertise and technology, skills and platforms, which we have invested for a very long period of time, just stands out. That's why companies partner more and more with us. I'll let Suhas talk about the margin piece.

Suhas Prabhu: Thanks, Manish. As I already mentioned, historically we have been growing and the EBITDA CAGR was a very healthy 41% plus in the last 10 years. We have, in the past, operated at margin levels or EBITDA, a level of more than 22% in the past as well.

In the years of high growth, if I dial back to March '22, March '23, our EBITDA margins fell below 20% on the back of our investments during a high growth period. As we embarked on this journey of high growth, seeing how the market was responding to what we bring to the table, we invested in market expansion activities. We invested in operations and technologies at a pace which needed us to dial down a bit on the margin front.

Indegene Limited

May 30, 2024

Page 11 of 17

This was also a temporary call, especially on the operational side. We had to take certain measures in terms of subcontracting and building capacity in the short term to cater to these requirements. Having said that, we continue to focus on initiatives which, over the period, have resulted in the margins continuing to expand from the 18% mark in March '22, going closer to 20% in March '23 and in March '24 today at 22.5%. Having said that, we will continue to reinvest in periods of high growth as we see the market responding to us, but in the longer run, we would strive to operate in the range of 22%-24% at EBITDA level.

Amresh Kumar: For the short term, can I ask you, if our employee count is close to 5100 today, what it would look like at the end of FY '25 or even FY '26?

Manish Gupta: We will not be able to give that number. All I can tell you is that we have made campus offers which are higher than what we did last year. Those people are going to be joining. We are gearing up for that.

Moderator: Thank you. The next question is from the line of Abhisar Jain from Monarch AIF. Please go ahead.

Abhisar Jain: Yes. Hi, Manish. Congratulations to you and the team for a good listing for Indegene. My question was on this very sharp revenue growth that we saw in the last 3-4 years. You, of course, alluded in your initial comments that post-COVID, there was a wave of, you know, focusing on digitalization for all the big biotech pharma companies but just wanted you to maybe dig deeper here and let us know whether we have been able to substantially gain wallet share and market share or whether the out-sourcing CAGR itself in those periods was equivalent to the growth that we showed.

Because it seems that we have almost increased the revenues by 150% in that 3-year period. So just wanted to understand this better whether we were able to gain some wallet share and we

sacrificed o

n the margins by investing also as Suhas also was mentioning during this period and this will hold us in good stead going ahead or in fact the industry CAGR itself was so high that we delivered those numbers.

Manish Gupta: Sure. That's a great question. Thank you for asking this. If I just break down how we get our revenues or growth. First of all, our revenue base is fairly stable, as I said, because it's not linked to product, therapeutic area. It's a very broad base, almost an index of, pretty much think about it, the pharma industry.

Hence, it's reasonably stable. Now, there are a few things which happen. One is the growth of the industry, growth in the spends of which we operate in, growth in outsourcing, but there are two other parameters.

One is shift to digital. If you are spending \$100 as a pharma company, how much of them were in traditional channels and ways of doing things, how much of that is in the new ways of doing things, digital AI driven and stuff like that. And the last but very important one is how much of your operations are you centralizing to bring in the best practices and being more careful on cost, compliance, factors like that.

Indegene Limited

May 30, 2024

Page 12 of 17

Now, those drive obviously growth for us. During the years of COVID, the shift towards centralization and digitization, shift to digital, accelerated. And they accelerated because the industry was way behind the curve. And Pharma industry was really one of the laggards in terms of digital adoption. So, they had to at least come to some level of respectability in terms of these adoption rates. And we, with our existing customers, were well positioned.

So, as the shift happened, we got a chunk of the shift towards the digital world. And new customers who are probably not moved in this direction, they realized that they just have to move. And given that we were well positioned in the industry, we could acquire new customers also.

That's what happened during this period. Having said that, typically what we have seen in our growth, we grow at a certain pace but there might be a year, in which a customer decides to do much more aggressively and you will have a bump up. So, that's how the typical pattern for growth in the last 15 years.

And trying to see there will be some years of growth, then all of a sudden some bump up will happen because two customers decided to do more activity versus the scale of our customers that matters. So, that's one piece. The second piece is that typically, as Suhas said, our margins are reasonably stable.

We have traded off a little bit of margins for high growth. For example, if my growth from a regular thing is going to be 10%-15% up, then we might drop, to enable that growth, drop the margins by, let's say, a percentage or so. This is exactly what happened until, let's say, 2022.

That we grew at 70% or so. Hence, our margins came down by 3 percentage points. And over time, obviously, we know the levers to press to get it back to the right level. That's what we have done in the past. That's what shows in the last three years' data as well.

Abhisar Jain: And just to follow -up on this and just to tie it up with the data that you mentioned in the fact sheet. So, Manish, just to understand this a little bit better, would you feel that some of that growth, that high growth that came in that period was also related to the environment and the adjustment which most of these companies are doing to digital?

And they may have now gone back to do some of that stuff internally also because I see a drop in the absolute employee count for us in FY '24. And also, FY '24 growth for us has slowed down. So, of course, I'm not sure but I'm just guessing at that point of time, of course, with our capabilities, we could have got a lot of work immediately. And now, is that the thing that some of that work, those companies are also doing themselves?

s?

Manish Gupta: No, absolutely not. Our revenues are not one-off projects. These are very deep-standing engagements, especially the 82% revenue, enterprise commercial and enterprise medical. These are engagements where setting up engagement requires a couple of months, by the way, right? Integration of processes, skill sets, training materials.

And most of our engagements are very longstanding. We have shared some of that in the DRHP. So, none of that has reversed. The other thing is that the nature of our construct in our contracts

Indegene Limited

May 30, 2024

Page 13 of 17

are hybrid contracts, F TEs, dedicated F TEs, but a significant portion being per-unit pricing, where we have the flex to develop tools, technologies, process optimization, to be more efficient. And those are the levers we pressed to drive our margin improvement and the headcount being what it is, which also shows in that we have delivered higher revenues by having a lower headcount, by pressing those models. Revenue -wise, it's fairly stable.

Abhisar Jain: Thank you so much. Those are my questions and best wishes.

Moderator: Thank you. The next question is from the line of Bhavik Mehta from J.P. Morgan. Please go ahead.

Bhavik Mehta: Thank you and congratulations on the listing. A couple of questions. Firstly, if I look at your top client and top five clients this quarter, it seems like a sharp drop over here. So, is this driven by one client or are there multiple clients which have faced issues during the quarter?

Suhas Prabhu: Top five customers have been fairly stable over the past many years and quarters. Having said that, given the scale at which we are operating with our top five customers versus the rest, the growth rate of – the rate of growth of the top five would obviously be slightly lower than the newer customers that we have added through the period and therefore, this would tend to be the case.

Having said that, it's just a marginal drop in terms of the revenue from our top five customers, which is today at 46% versus the 49%. And this has been the trend over the past many years. If you look at FY '20, this was 65%. And even with the high growth that we saw over the three years following that, this 65% came down to 49% last year and continues to be in the range at 46% now.

Bhavik Mehta: I was talking more from a quarter perspective that top five has come down from 46% to 42.5%. So, it seems like the revenues have also declined for the top five clients. So, was there a particular reason, especially in the March quarter?

Suhas Prabhu: No, nothing in particular there. The same, as I said, is reflective of the trend that we are seeing, wherein the growth in absolute percentage terms at the current scale that we are at in these customers versus the growth in the rest of the accounts, which are growing at a faster clip, is the major contribution.

Bhavik Mehta: The second question is, can you clarify what was the organic growth for FY '24?

Suhas Prabhu: So, while we don't break out our organic, inorganic growth numbers, just to give you a perspective, the acquisition of Trilogy has not contributed to any revenue or impact on the earnings in the quarter. The acquisition was closed as of the last week, I think, 22nd of March itself and this being a non-material acquisition would have no impact on our earnings and results that we have declared for March 24. This is not material and therefore, we don't anticipate that to be a major contributor to the growth in the future.

Indegene Limited

May 30, 2024

Page 14 of 17

The last acquisition prior to that was of Cult Health in October 2022 and this has contributed to the growth of our omnichannel activation business segment, which grew by 18%, largely driven from the acquisition of Cult Health. But 82% of our business, which is the enterprise commercial and enterprise medical, which grew at 11%, was entirely org

anic.

Bhavik Mehta: Okay, got it. The next question was, how should we think about FY25, given how FY '24 has spanned out? Have you seen any improvement in demand from clients, which can lead to acceleration in growth? And also, should we expect any headwinds from patent expiry or inflation reduction act next year?

Manish Gupta: So let me take that. So if you see, we'll point you towards pharma growth rate. I spoke about that - after a very secular CAGR of almost 6.3% or so over a 15-year period. Although it was 5.7% if you take out FY '23, where FY '23 was a year of decline and the top 20 pharma companies declined by 7% in FY '23.

24 calendar year, which will pretty much become FY25 for us, is expected to be a year of growth for pharma industry. Growth is going to be in that 4% to 5% range. That's the broad projection.

However, if we take FY25 to FY28, the projections of growth for the industry are in the order of 5% to 8%.

And patent expiries, which you're talking about, are short term. But pharma industry is also sitting on new product launches as never before, which will play out over the next few years, till FY28. And that's why you see that projection.

Bhavik Mehta: Okay and lastly if I may...

Moderator: Sorry to interrupt, sir. May I request you to return to the question queue for follow-up questions, please? Thank you. The next question is from the line of Pradyumna Choudhary from JM Financial. Please go ahead.

Pradyumna Choudhary: Hi, sir. I think the previous participant already asked you regarding the demand sentiments in the industry as such. But just wanted to get more on that itself. Is everything already accounted

for in the base year, in terms of there being no COVID -related one-time revenue? Is that already accounted for?

Manish Gupta: Actually, FY '24 has no COVID-related revenue. Till FY '23 , we had a little bit. FY '22 , FY '23 , these two had a little bit of COVID revenue, which has gone to zero in FY '24 itself.

Pradyumna Choudhary: All right. And secondly, was a slightly longer term related question. How do we see the impact of the generative AI on our business, considering Gen AI seems to be something which would have huge implications on the pharma industry? The more we are reading about it, the more we are realizing the importance of Gen AI in the pharma industry. So how do we expect to see the benefits or the disadvantage or probably the threat to our business from this?

Manish Gupta: See, from our perspective, our strategy was anchored on, as I said, medical expertise, healthcare expertise and technology expertise coming together. And the way we articulate technology

Indegene Limited

May 30, 2024

Page 15 of 17

expertise, it's not having 1,000, 2,000, 5,000 people. Our technology manifests in having platforms which we have developed, which encapsulate this healthcare medical expertise. And we've been investing in AI for the last six, seven years when AI was not AI or generative AI. It was machine learning, computer vision, NLP.

And that was one of the differentiators we had in the marketplace. So we are excited that Gen AI at one level gives us better tools and results. Having said that, we believe it's a source of competitive advantage. But having said that, again, I want to reemphasize, this is a very conservative industry. And rightfully so -- given the nature of work this industry does. And adoption will take its own time. That's what we have seen. That's why we've been at it for 25 years now.

Moderator: Thank you. Ladies and gentlemen, in the interest of time, we will be taking two more questions.

The next question is from the line of Sarang Sanil from RW Investment Advisors. Please go ahead.

Sarang Sanil : Good morning, sir. Thank you for the opportunity. So firstly, what sort of employees are hired apart from the earlier mentioned PhDs, medical doctors, pharmacologists? Are they usually from the IT

services background or do they come in with an expertise in what we do?

Manish Gupta: So here is how it pans out, if you think about it. There are different sets of employees. One is that 21.5% of those medical doctors, PhDs, pharmacologists. We go to M . Pharm colleges where we hire M . Pharm 's, PhDs. Doctors , there's no campus thing, so we obviously visit various websites. And again, we've been doing this for the last 25 years, so we have a lot of inbound from doctors as well. So that's one source of hiring. The other source, of course, is the engineering talent, engineering, math.

Now, these are people who could finally, from a career path perspective, become software engineers, could be analysts, could be data scientists, data engineers. That's the second set of profiles. We also hire people from a creative background. Although numbers are small, but still, that's another profile we have. Especially a few in India, but definitely in the United States, we'll have some people like creative directors, art directors and all that stuff.

We hire people who have MBA, marketing kind of backgrounds, as digital strategists, omnichannel strategists and various roles like those. The IT part, when I said people like data scientists, data engineers, software engineers, those are the profiles which could, at a lateral level, come from the IT industry. In our developed markets, US and Europe, where we are customer facing, people will typically come from a life science domain, agencies, CROs, CSOs .

That will be the larger profile.

Sarang Sanil : Got it, sir. So second, we wanted to know if segment mix has a role to play on the margin side.

If any segment is margin -accurate or dilutive ?

Suhas Prabhu: Yes. So, as I mentioned, the Omnichannel Activation and the smaller segments, which are clubbed under others, which are consulting and clinical solutions today and these constitute about 18% of our revenues. These, at the segment al level, are not margin -accretive. And these,

Indegene Limited

May 30, 2024

Page 16 of 17

as we scale, could potentially be margin -accretive as the operating leverage scale would play out.

For enterprise medical and enterprise commercial solutions, we are operating at a healthy segmental margin rate in the mid to high 20s.

Sarang Sanil : Sure. Thank you and all the best.

Moderator: Thank you. The last question is from the line of Naman, who is an I nvestor. Please go ahead.

Naman: Thank you for the opportunity, sir. I have two questions. First is, could you please help us explain how is your business model different from the healthcare and life sciences division of any large IT service company like Infosys or TCS? And second would be that a typical CRAMS or CDMO company like Syngene talks about an asset turn of one time, while our asset turns look much higher than them.

So, compared to a CRAMS business, how does Indegene 's business model stack up and what sort of peak asset turns that we see in our business?

Manish Gupta: Sure. So, as far as, I alluded to this in my initial discussion that , these are the IT companies who are primarily focused on, let's say, we call it a sales force implementation or cloud implementation . More on the CIO side of the business. Here, opportunistically, they will be working on the business side. As Indegene , we are working primarily on the business side, with the P&L owners, brand heads, therapeutic heads, global commercial ops, chief medical officers, head of regulatory safety, head of clinical operations.

That's our predominant thing right now . Opportunistically , probably we'll be on the CIO side.

It's completely reversed. So, to that extent, what we do is non-discretionary in nature. You've got to file your things with FDA. You need to reach out to your customers. So, it's pretty much non-discretionary on the business side. That's one part. Just before this, I spoke about the mix o

f

talent we have. It's very different than what IT companies will have. It's multiple skills and multiple skills spread across multiple geographies . So, that complexity is much higher. Now, coming to the CDMO industry. Now, while I'm no expert on the CDMO industry, the CDMOs obviously are servicing a very different value chain . I spoke about the lab part subsequent to which we come in as Indegene .

CDMOs are primarily in the lab and, of course, on the manufacturing side - segments we don't operate in. From our perspective, we are happy because the segments we operate in from a TAM perspective are much larger. Having said that, even from a capex and fixed investment perspective, we are very asset light. We don't need large facilities, build whatever it is and investments. To that extent, our ROEs , ROC Es are typically much higher than the CDMO industry and that you'll see in the financials. Suhas, do you want to add anything to that?

Suhas Prabhu: As Manish mentioned, we are very asset light. We have operated with our capex typically being in the vicinity of 1% of revenues, which, again, just emphasizes the low capex requirement for the business . And we anticipate that to be in that vicinity even in the near future.

Indegene Limited

May 30, 2024

Page 17 of 17

Naman: Okay. Thank you. That's it from my side .

Moderator: Thank you. Ladies and gentlemen, that brings us to the end of the question -and-answer session.

I would now like to hand the conference over to the management for closing comments.

Manish Gupta: Thanks so much for joining the call today and your continued support and interest in Indegene .

We look forward to speaking with you again next quarter. Have a great day. Thank you so much.

Moderator: Thank you. On behalf of Indegene Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

Indegene Limited (Formerly Indegene Private Limited),
Third Floor, Aspen G -4 Block, Manyata Embassy
Business Park (SEZ), Outer Ring Road, Nagawara,
Bengaluru - 560 045, Karnataka, India
Phone: +91 80 4674 4567, +91 80 4644 7777
www.indegene.com
CIN: U73100KA1998PLC102040
INDGN/SE/2024 -25/32

August 8, 2024

BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400001, India.
Scrip Code: 544172 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051, India.
Trading symbol: INDGN

Dear Sir / Madam,

Sub: Transcript of the conference call on financial results for the quarter ended June 30, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call for the quarter ended June 30, 2024, conducted after the meeting of the Board of Directors held on August 1, 2024.

The above information will be made available on the website of the Company: <https://www.indegene.com/>

This is for your information and records.

For Indegene Limited
(Formerly known as Indegene Private Limited)

Srishti Ramesh Kaushik
Company Secretary and Compliance officer

Page 1 of 16

"Indegene Limited
Q1 FY '25 Earnings Conference Call "
August 02, 2024

MANAGEMENT : MR. MANISH GUPTA – CHAIRMAN AND CHIEF
EXECUTIVE OFFICER – INDEGENE LIMITED
MR. SUHAS PRABHU – CHIEF FINANCIAL OFFICER –
INDEGENE LIMITED

Indegene Limited
August 02, 2024
Page 2 of 16

Moderator: Ladies and gentlemen, good day and welcome to the Indegene Limited Q1 FY25 Earnings Conference Call. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr.

Abhishek. Thank you and over to you, sir.

Abhishek: Thank you, Sejal. A very good morning to all of you and thank you for joining us today for Indegene's Earnings Conference Call for the first quarter-ended financial year 2025. Today we have with us Mr. Manish Gupta, Indegene's Chairman and CEO, and Suhas Prabhu, CFO, to share the highlights of the business and financials of the quarter. I hope you have gone through our results release and the quarterly investor presentation which have been uploaded on our website as well as the stock exchange website. The transcript of this call will be available in a week's time on the company's website. Please note that today's discussion may be forward-looking in nature and must be viewed in relation to risks pertaining to our business.

After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team. I now hand over the call to Manish to make his opening remarks.

Manish Gupta: Thank you, Abhishek. Good morning, everyone and thank you so much for joining this call this morning.

In our last earnings call, I had mentioned that Indegene is a fairly unique company. Unique definitely in the Indian context, and I can confidently say there's no one like us in the market. And it's something I'm going to double click on later again. Our thesis when we started 25 years back was that by bringing deep medical expertise and healthcare expertise along with deep technology expertise, we can solve various problems in the healthcare industry. That remains our thesis today also. We are known in the market as a digital first commercialization partner to the global life science industry.

Now, after the last earnings call, we met a lot of you. We got a bunch of questions and also suggestions. A big thank you to all of you for the same. Based on the questions and suggestions we got from all of you, here is what I plan to do in my commentary today. First is a double click on growth drivers. And so I'm going to spend some time talking about those. Also describe the nature of our company a bit more. And of course, our Q1 results. So let's start and straight away dive into the growth drivers. Let me start off again with what I shared in the last call, which is more macro. The global life science industry is north of \$1.8 trillion in size. The operational spends in the areas that are addressable to us, as were highlighted in our RHP, is more than \$135 billion. Now, you might have seen a number of 156 billion.

What we have done is taken out \$21 billion, which is essentially the spend on manufacturing, which is not really addressable by us. Now, out of these spends, sales and marketing, where we have our largest footprint, contributes to 40 % of the spend. Spend in all the areas we operate in, Indegene Limited

August 02, 2024

Page 3 of 16

which is essentially regulatory and medical affairs, sales and marketing, pharmacovigilance, are increasing at a rate of 6 % to 7% annually.

Outsourcing is growing much faster, around 9 % to 14 %, depending on the segments I just alluded to. Outsourcing in the sales and marketing side is on the higher side. Apart from the increase in spend and outsourcing, there's also a shift to digital, which we again had alluded to in our last call and many of the discussions before that.

More and

more from the traditional channels of Reps or more people-oriented ways of doing things, there's a shift to digital and AI way of doing things, which increases and continues to increase our addressable market. If we think about it, global life science companies spend more than 25 percent of their revenues on average on SG&A. And by the way, in the SG&A line item, sales and marketing is the predominant spend.

More than half of the top 30 pharma companies are spending more than 25 % in SG&A. They also spend approximately 15 % on R&D. So if you think about the SG&A and R&D spent together, it's around 40 %.

All this presents an opportunity to use digital solutions to drive better physician and patient engagement at reduced cost by deploying digital rather than physical channels or having an omni-channel approach to engagement rather than some of the traditional channels. Given that we are a relatively small company in a very large market, when we plan our execution, this large market opportunity which I just spoke about, of course, gives us comfort. But when we plan our execution on the ground, that is planned from the perspective of clients, accounts, customer segments.

And when I say customer segments, I'm talking about big pharma, big top 20 pharma, mid-sized pharma, biotech and devices. Our business segments become important because they represent different buying groups and different capability sets in our client organizations. Now when I speak about growth from a ground-up perspective, the way we think about it, for simplicity today I'm going to just focus on one customer segment, the top 20 pharma companies.

That's an important segment because top 20 pharma companies constitute approximately two-thirds or 66% of the global life science revenues. And for Indegene also, 68% of our revenues comes from these top 20 pharma companies. So if you think about it again, we are pretty much mirroring the global pharma industry and even in the last call I had spoken about our 65% of revenues coming from Europe, which is very close to the industry spends and split globally as 65% from US, 32% from Europe; that was our spend, and that's broadly how the spend is distributed globally.

Now again, let me go down into some of the facts. We report the following numbers and facts. We work with all top 20 global pharma companies. We have 65 active clients, which are a bit more than what we had reported in the last quarter. We have 36 clients more than USD \$1 million in revenue, again a tad higher than what we had reported last quarter.

Now if you double-click a bit more on this, our largest client today is around \$42 million. And we have two more clients that are more than \$25 million in revenue. All three of them, the \$42 Indegene Limited

August 02, 2024

Page 4 of 16

million and these two other companies, are top three pharma companies. All these companies, we believe, have headroom to grow to \$75 million to \$100 million in the medium to long term. In our top 20 clients right now, Indegene's top 20 clients, 14 are top 20 pharma companies. So you think about those three, which I just spoke about, which are more than \$25 million. There are another five top 20 pharma companies where we have revenues in the \$10 million to \$25 million range, which makes it eight companies. There are another 10 companies with revenues in the range of \$1 million to \$10 million, and two of them are less than \$1 million. So we are talking about 12 companies of the top 20 pharma companies where revenues are less than \$10 million.

On one hand, we have a largest client being at \$42 million and headroom to become a \$100 million account. And on the other hand, you have 12 of the top 20 pharma companies being less than \$10 million revenue. Now this essentially means that just with these 20 customers or 20 clients of ours, we can continue to be quite busy for

for a pretty long period of time growing these clients.

In the medium term, we believe we can move many of our clients that are in the \$1 million to \$10 million range or \$10 million to \$25 million range to be more than \$25 million, and the slightly larger ones into more than \$50 million in the medium term. And if I talk about the medium to long term to that \$75 million to \$100 million range, which I alluded to earlier.

Today, in many of our top 20 clients, we are having some very interesting conversations and pursuing some very interesting opportunities where we have the potential to partner with these companies at the next level of their either consolidation and execution of some of their more upstream marketing and medical activities or increase their digital footprint in a significant way for brands across their lifecycle. So that's in the top 20 pharma companies.

Beyond that, we also continue to get more and more traction in the midsize biopharmaceutical companies. Now the midsize we'll define as let's call it 20 to 100. Six of these anyway are our top 20 clients. This is a very dynamic segment where we continue to invest. These companies view us as end-to-end partners. Towards the end of Q1, we closed some interesting deals again with this segment, which I'll allude to later in the discussion.

Now, having spoken about opportunities from a client perspective, let me delve deeper into the segmental view of things. If we dive into our top 20 clients, a significant percentage of revenues comes from enterprise commercial segment, indicating a potential for further expansion into other segments like enterprise medical. Within Enterprise medical itself, the operational spends are approximately \$40 billion. This essentially includes the regulatory and medical affairs and the safety and pharmacovigilance segment, which have been called out in our RHP earlier.

In the enterprise medical segment today, we have two clients that are more than \$10 million. There are 14 clients in the \$1 million to \$10 million category, which means of the 36 \$1 million plus clients, which I spoke about earlier and as reported in our KPIs, only 16 significant clients are in the enterprise medical segment and that presents an opportunity to expand not only these

Indegene Limited

August 02, 2024

Page 5 of 16

16 clients, but also expand our enterprise medical capabilities and offerings to the remaining 20

clients who are sub \$1 million or not even present today. That's one segment.

Now, if you look at Omnichannel Activation, which is our third segment, we again have two clients that are more than \$10 million. Outside of that, we have another three clients that are in the \$1 million to \$10 million range. This essentially means that, again, out of our top 36 clients who are more than \$1 million in revenue, our omni-channel orchestration footprint is in five, again, presenting the headroom to expand into this segment over the medium to long term. Outside of this, clinical is a very large spend without sourcing in excess of \$50 billion per annum. Our foray here is nascent. And given the impact of technology and pressure of regulation, especially IRA, we believe it presents a large and interesting opportunity for us, and we continue to invest in this.

Given our presence across the commercialization value chain, we are poised to increase penetration with each of the accounts by leveraging cross-sell potential. We have seen our land and expand strategy yield results consistently in the past. So that's a broad kind of a breakdown from ground up.

Now, again, let me come back to some of the macro part of the industry. We have spoken about some of this in the last call, but I would like to reiterate that despite facing a challenging last year, which is calendar year '23, with the top pharma companies seeing a downturn or a negative growth rate or degrowth of 7.1% for these top 20

pharma companies, the outlook for the industry remains positive now.

2024 is anticipated to be a year of growth, though a modest one, setting the stage for recovering to 2022 levels for the industry. However, by FY '28, which is essentially FY '25 to '28, the industry is expected to grow at a CAGR of 5% to 8%.

This higher growth rate and the bump in growth rate is mainly attributed to upsurge in drug launches, which is always favorable to outsourcing opportunities. We are well positioned to capitalize on this expansion to increase penetration in market share. Now, that's broadly about the industry. Some of it is what we had spoken about last time.

Let me come back to talking about the uniqueness of our company. We are neither a traditional IT company nor a BPO company. We operate in crucial business segments within the Life Science domain, leveraging our expertise in medical, commercial, and technology areas. We're likely to be one of the first business services companies from India doing this, focused on a very large, specialized, and important industry, helping to solve for problems of future of sales and marketing for the Life Science industry. This essentially means how does this industry engage with their end customers, which are physicians, patients, and payers, how to drive better regulatory medical compliance far more efficiently and effectively; and also reducing the time taken and cost involved.

These are very important and significant problems the industry is dealing with, and we are helping them get much more effective and efficient in some of these areas. In our business, our engagements with our clients is for work which is of a very critical nature and involves a business

Indegene Limited

August 02, 2024

Page 6 of 16

transformation in some of these very mission-critical and business-critical areas at the end for the clients. Clients take some time in the initial phases to get their act right, and of course, in our partnership. But once that is set, we see rapid scaling, and that's been the trend in the past. Now, in that context, we remain bullish about our mid- to long-term growth prospects, given the opportunity size I just alluded to, and our unique positioning in this industry. We continue to remain committed to executing with a mid- to long-term focus, aligned with the nature of our industry and business.

Again, as I had spoken about in the last earnings call, there will be quarters and years of high growth. There will be quarters and years of low growth, but we will nevertheless continue to grow. Over a three- to five-year period, we believe we're going to be a much larger company. Now, in that context, we would believe it's going to be much more appropriate to evaluate our performance over the medium-term, let's say over three years or at least annually, rather than on a quarterly basis.

To support our growth in the medium- to long-term and the large opportunity size we spoke about earlier, we continue to invest in enhancing our go-to-market capabilities, continue to invest in specialized domain expertise, therapeutic expertise, area expertise in areas such as sales and marketing or pharma commercialization, regulatory affairs, clinical operations, medical affairs, and in developing advanced technology tools and platforms, many of which incorporate Gen-AI.

Now, coming to our results for Q1, we recorded revenues of INR6,765 million, which is an 11.4% growth vis-à-vis Q1 last year, and our EBITDA is INR1,328 million, which is a higher 14.5% growth compared to last year Q1. Our PAT for the quarter is INR877 million, which is 28.4% higher than Q1 last year. We have fully paid off our loan of USD 48 million, which was

one of the objects of capital raised from the IPO. This was the largest component of the fund raised from the IPO, and that has been utilized now.
From a quarter-on-quarter perspective, the performance

will appear a bit underwhelming.

However, we continue to remain bullish about growth in the medium term, given not only the market opportunity I just explained, but also some of the market engagement we see right now, which I'll talk about in a bit. But before that, let's just talk about the current quarter. We had a few headwinds from a growth standpoint.

One of our top five clients, which faced certain challenges in 2023, continues to make effort in overcoming these challenges, impacting our revenues from the client adversely. We believe from all the conversations we have with this client, given that we are deeply embedded, this should stabilize and get better towards the end of the calendar year. On top of that, we had another of our top five clients undergoing restructuring and re-engineering of some of their processes, which impacted us adversely in Q1. We again understand from our conversations with them, that this is a near-term issue, which is unlikely to continue for more than a few months. Hence, activity and spend levels are anticipated to be back to earlier levels in H2.

Indegene Limited

August 02, 2024

Page 7 of 16

Now, coming back to medium term, compared to last year, same time, pipeline is much healthier than it was. Quality of conversations with clients are much better and much more strategic in nature, which gives us confidence about driving robust growth in the medium term. Towards the end of Q1, we had four strategic wins from mid-size pharma, which provide an impetus for growth in the coming quarter. These are very interesting deals.

We also have some very interesting deals shaping up, which will provide an impetus for growth in the coming quarters. Most of these deals and opportunities are with top 20 pharma companies, where they are looking at the next level of consolidation and aggregation of some of the upstream marketing and medical activities. I spoke about that earlier.

And we believe they will get initiated in our H2 as companies start budgeting for these at an enhanced scale in the next calendar year. And hence, would reflect starting our Q4. With these promising developments, we remain confident of steady growth in FY '25 and, as I mentioned earlier, in the medium term.

With this, I'll pass on the mic to Suhas for more details on the financial performance. Suhas, on to you.

Suhas Prabhu: Thank you, Manish. Once again, a very good morning to everyone and we appreciate your participation on this call today. Let me start by getting into the details of the financial performance for the quarter, more particularly the margins. An important thing to note is we have made a change in the way we report EBITDA versus what we have been doing in the past, by excluding interest income.

This is relevant as we have more cash on the balance sheet, understandably with the INR7,600 million of IPO proceeds coming in which are invested in interest-bearing instruments. Hence excluding interest income from EBITDA would be a better representation of the operating performance of the business. This change is also based on the feedback from many of you that we interacted over the past couple of months and is consistent in the manner EBITDA is computed and disclosed by other companies.

Exclusion of interest income from EBITDA would result in reduction of margin by approximately 150 bps to 250 bps in each of the quarters of the past period against what we had reported. I would also request you all to refer Slide 12 of the investor presentation that has been filed with the exchanges and is also available on our website, for the revised EBITDA workings for the past years and quarter. Going forward, this is the manner in which we would continue to report EBITDA.

As Manish already mentioned, our revenue in Q1 is INR6,765 million which is 11.4% year-on-year growth and 0.5% quarter-on-quarter growth. Our margins came in stronger

with EBITDA

of INR 1,328 million at a 19.6% rate versus 19.1% in the corresponding quarter last year. This 50 bps increase in EBITDA combined with the interest income increase from the higher investable cash on the balance sheet and the lower depreciation amortization rate has further positively impacted our earnings with the PAT margin coming at 13% versus 11.3% in the Indegene Limited

August 02, 2024

Page 8 of 16

corresponding quarter last year. And therefore PAT of INR877 million is a growth of 28.3% year-on-year.

Manish already alluded to the impact on the sequential revenue growth with a couple of our top five clients having internal restructuring and other related issues impacting our revenue in our Q1 of the current fiscal. And this also impacted the margins as we continue to maintain capacity for higher volumes from these clients.

And hence our sequential EBITDA margin contracted by 230 bps to 19.6% versus 21.9% in Q4 of last year. As volumes from these clients ramp up in future, we expect this to get corrected. Further, we continue to strengthen our technology and automation initiatives which we believe will also have a positive impact on the margin in the future. We anticipate that the EBITDA margin would have a similar trajectory as the past fiscal year with a stronger H2 compared to H1 with the rate for the full year and even beyond being in the early 20s.

We are now a zero debt company and the resultant zero interest cost impacts PAT favorably going forward by approximately 100 bps. To sum up on the margins, our focus on maintaining and growing EBITDA margin continues and with the imminent interest cost reduction going forward, the PBT and PAT margins should also get impacted positively.

Finally, our return on equity post the primary raise in the IPO continues to be in the 20s, at a healthy 21% and return on capital employed net of cash is a very healthy 48%. With that, let me take a pause and move on to the questions that either me or Manish can answer for all of you.

Moderator: Sure sir. Thank you very much. We will now begin the question and answer session. The first question is from the line of Abhishek Bhandari from Nomura. Please go ahead.

Abhishek Bhandari: Thank you for the opportunity. Manish, thank you for the very detailed opening remarks where you spoke in detail about your top accounts and your ambition in the medium to long term. I have one question over there. If you could share what are the timelines you're looking to grow from this 40 to 100 on your top and the next two from 25 to 100? In the context of what happened in the history, how long did it take you to scale up these accounts? How do you go about it in terms of cross-selling?

And what are the key impediments in achieving that? The place where I'm asking you from is while we look at the time it all looks very strong, but the growth rates that we currently have are just around 10%, 11% year-on-year, while the numbers you're talking about are much, much higher. So if you could give some path over there, that would be helpful?

Manish Gupta: Sure. Thank you for the question, Abhishek. Now, it's very difficult to call out exactly how many quarters because as you would imagine we are talking 68% of our revenues coming from the top 20 pharma companies and they have their own pace of doing things. Now, in the past again, I had spoken about in the last call that if you take a decadal view, we had grown in the order of 24%-25%. Now, of course, that was a smaller base. And in the past, also, we have seen that customers would continue to be at a certain level and probably go up. Once in a while they can be a bit down. We don't see significant downturns.

Indegene Limited

August 02, 2024

Page 9 of 16

And then as soon as they get one of their activities together, which is more of an internal transformation, we see a big surge happening.

And we believe some of that will continue to play out. Now, to get more specific as I had mentioned in the commentary earlier, today we are seeing a much stronger pipeline in general.

If I look at the numbers including even the Q1 closed deals the quality of conversations and opportunities we are pursuing are very strategic in nature. We have spoken about how we drive consolidation across a set of marketing activities. And I remember meeting many of you and saying, if you think about 1-10 processes, we would be doing, let's say, 5-8, 5-9 for our customers.

Now, for the first time in so many years, we are also seeing customers talk about processes 3-4, which are much more upstream. And the reason they are doing it is that they are gearing up for new launches as have never happened before. And they are seeing that how can I get more and more budgets lined up for those new launches.

So some of the pause which is happening is also happening because companies are right now trying to get prepared for the imminent launches over the next few years and rejigging their internal processes. So in that context, I would say that we expect some of these bump-ups to happen over the medium term.

Suhas Prabhu: And also, just to probably add there, with some of the larger pharma companies, we also see that the decision-making gets pushed towards the end of the calendar year, which is also a reflection of their planning cycles, which are Jan to December. And as Manish mentioned, we see typical ramp-ups take about 4-6 quarters post-initiation of a new engagement or expansion in the engagement.

Abhishek Bhandari: Got it. Thank you. So Manish, this was my second and last question. Sorry if I missed it in your opening remarks. But if you look at your top 5, top 10 account portfolio, top account has done well, whereas the remaining top 2-5 or call it 2-10 there is still a weakness. I think you mentioned

that you have some confidence on those growth -recovering paths. If you could tell us what kind of projects are these and by when do you think the ramp -up of these will happen in the course of Fiscal 25?

Manish Gupta: So it could be very client -specific, Abhishek. As I said, our largest client is growing and there's a very strong pipeline even after this growth. The remaining 2 in the top 25, that's where some of the weakness in the quarter 1 came in.

One of them we believe was a very short -term thing, which is where I said we believe it should get corrected in a few months. The other company is going through a bit of a churn so that might take a few quarters. Now if I think about other customers, let's call it outside of these 3 customers in general , apart from 1 or 2 companies, which are facing their own challenges, they're missing their earning guidelines and hence restructuring, reorg and all this stuff across the board, we see a much stronger pipeline.

And we are reasonably confident that again in the next few quarters we should start seeing all these companies ramp up. The whole pyramid of number of customers above 25 million, 10 to Indegene Limited

August 02, 2024

Page 10 of 16

25 number of million -dollar customers, we believe over the next let's call it 18 to 24 months, we should be in a much better shape from a KPI perspective.

Abhishek Bhandari: Got it. Thank you , Manish, thank you Suhas and all the best for Fiscal 25. Thank you , Abhishek.

Moderator: Thank you. The next question is from the line of Karan Surana from Monarch AI F. Please go ahead.

Karan Surana: Hello, good morning, sir. Thank you for your opening remarks. Am I audible?

Moderator: Yes, you are.

Karan Surana: Sir, I just want to probe a little bit on the demand environment. You said that we've seen some softness in the last couple of quarters . So when you are having conversations with them, what conversations are you having on the spends with the top clients?

Because as we see on your slide

18 sir, our client 3 and 4, like you already alluded, did see significant ramp downs, right? Our client 3 went from \$35 million to 29 in FY '24, right? So can you just help us understand the spending environment with these clients and what transpired to see this ramp down post three years of very strong growth in these accounts?

Manish Gupta: Yes, so this is one customer which has its own issues . In this customer also, I think we would have alluded that at least in FY '21 and even '22, we had some bit of COVID -related revenues as well . Actually, FY '22 and FY '23, there was some bit of COVID -related revenues. `Those are one -offs, right? Which had to go and we are very clear of that. We had stated that earlier. So that's one impact. Subsequent to that, this is a customer which is going through significant change and that's the customer I alluded to in the earlier question which we believe it's going to take a few more quarters probably for them to stabilize and then for things to pick up. They have their own revenue issues, big client reorganizations and things like that. Suhas , you want to add on anything?

Suhas Prabhu: Yes, and having said that, Karan, we continue to engage with them on looking at how to shape their commercial activities as they come out of their internal reorg and other priorities in the near future. We are deeply engaged on being the digital partner for this client and of course, the priority today for the client is to get their act together and then we see that opportunity likely to move forward.

Manish Gupta: And again, I'm going to just double -click on and probably reiterate some of the stuff which I mentioned earlier. Across these clients and in these top three and many more clients across the board today , we are seeing that after having gone through, let's call it a wave one of consolidation in digital activities , they are now gearing up for wave two. And thinking about reorganizing to drive consolidation across those sets of activities. And we believe we are very well positioned to help them do that.

Karan Surana: Got it, sir. So, sir, since our Q1 was kind of flat Q -o-Q for us to kind of replicate the last year's growth the ask rate from Q2 to Q4 on a CQGR is quite high. So, just to kind of understand is it naturally that our Q1 is usually soft and our growth picks up in the later half of the year or what

Indegene Limited

August 02, 2024

Page 11 of 16

makes us feel confident that at least we can replicate last year's growth rate? Or we might see this year, our year -on-year growth on a full -year basis might be a little bit lower than FY '24.

So, just getting some sense of post -Q1, what could transpire from Q2 to Q4?

Manish Gupta: I'll let Suhas double -click on some of the things. But again, as I did mention earlier that our pipeline deal closures in Q1 and the quality of opportunities we are pursuing at reasonable stages are much more healthier than what we had in Q1 last year. Q1 last calendar year was a tough

year for pharma in general . And companies were dealing with that. That was a year of slow growth. It was a year actually of degrowth for the pharma industry. It was a year of IRA being introduced as a regulation . And I think everybody now realizes what the external landscape is and things are looking better for them. And from a metric perspective, pipeline deals all the stuff is much healthier for us. And that's what makes us confident about this year as well. But Suhas, I'll pass it on to you for more details.

Suhas Prabhu: Yes. Manish already mentioned in his opening remarks about four opportunities that got converted. And this is what we are looking forward to from a future perspective given that those have already been bagged by Indegene. And of course, the pipeline and the kind of conversations, the quality of the conversations that we are having, we

see that impacting us

positively. The other thing that I would like to also highlight is that while our top five client concentration, if you look at got impacted adversely , Actually, when you extend that to top 20, you'll see that that has not been impacted as adversely, which indicates that there is growth in the rest of the clients in our top 20. And so it's business as usual in many of our accounts , more specifically outside of the two that Manish mentioned. And that also gives a fair indication of why we continue to remain bullish on our current year and beyond.

Karan Surana: So just to probe a little bit, however it's encouraging that the deal pipeline or the pipeline that you guys are seeing is very strong. But just from a CQGR basis, I just didn't really get a sense whether you feel confident that in the 2H or post Q2 that our growth trajectory could replicate last year or we could even do better than last year?

Suhas Prabhu: Again, Karan, I would say we have demonstrated in the past an ability to grow at significant rates whether you look at it on a yearly basis or even on a medium-term basis. And we therefore continue to emphasize that it's something that we have done in the past and given the quality of conversations, pipeline and even deal closures that we are seeing, we remain bullish about the current year and future.

Karan Surana: Okay, sir. Just squeezing in last one, sir ...

Moderator: Sorry to interrupt you, sir. May I request you to rejoin the queue for your follow-up question?

Karan Surana: Okay, I'll rejoin the queue.

Moderator: Thank you. The next question is from the line of Abhishek Kumar from JM Financial. Please go ahead.

Abhishek Kumar: Hi, good morning. Thanks for taking my question. First, when I see the segmental performance this quarter...

Indegene Limited

August 02, 2024

Page 12 of 16

Moderator: Sorry to interrupt you, sir. May I request you to please use your handset?

Abhishek Kumar: Yes, so my question is, if I look at the segmental performance on a sequential basis, apart from Enterprise Medical Solutions, which has grown by 17%, every other segment has declined, I was just curious if, Enterprise Medical Solution has any contribution from Trilogy acquisition, which we closed towards the end of Q4.

Suhas Prabhu: Yes, so thanks, Abhishek. So from a segmental performance perspective, yes, Trilogy has contributed to that, because Trilogy being a regulatory writing business rolls up into our medical segment. But having said that, it's a very non-material acquisition. And the two client engagements that Manish , spoke about where we had a decline in volumes has adversely impacted the commercial segment more specifically, the enterprise commercial segment, and that showcases the decline quarter-on-quarter in the commercial segment.

The other two segments, again, while it shows a decline, it's also on a very small base where we also have project by project kind of business being a little more significant than the two enterprise segments which contribute 80 % to 83% of our revenues. And therefore, on a quarter basis, there might be some impact, sometimes positive, negative, but I wouldn't read too much into that.

The recurring business and the longer business proportions are higher in the enterprise segments, which is enterprise commercial and enterprise medical. And your observation on Trilogy is accurate, but it's not a material contributor.

Abhishek Kumar: Sure. Next question, maybe to Manish. See, from what I understand, the work we do is a very non-discretionary sort of work, something which, pharmacovigilance or even S&M for drugs which are already in the market, they are, very critical for all the pharma companies for their operation.

So, in that context, such sharp decline by a few clients, what are they cutting? Because this, if this is non-discretionary important, is this, kind

of rate cuts that we are seeing or some closures

of the program? Just explain, what kind of impact we are seeing in terms of, our engagements with them?

Manish Gupta: So let me explain , and these are, that's a good question, Abhishek . And if I explain, it's client by client . One of our clients where I said they faced problems in 23 and continue to face problems, it's going to take some time. There, they're having a combination of a few things. One is in general, given the pressure they have on their financials across the board cuts . And significant reorganizations, which has resulted in general volumes dipping . So there are many things contributing to this client. Whereas the other one, it looks like that it's a very temporary thing. There is a model shift. What happens is a lot of our business, at least on the enterprise commercial segment, as I explained to many of you, that there are agencies across the world doing work for them, for the brand teams. Now they consolidated these activities . And said some of these activities will be done in a centralized way, get executed by Indegene . Now in some reorgs and all that stuff which has happened for this client , there has been leakage, and local markets have gone ahead and spent more on their own . Which is not a traditional thing.

Indegene Limited
August 02, 2024
Page 13 of 16

And of course, this company is committed to more centralized ways of doing things, is not only strengthening that , plugging the leakages, but also saying there are a bunch of other things which we had left to the market will also be centralized globally. And that's a thing which hit. Activities continued, of course.

Abhishek Kumar: All right, and this is the client where you think in a couple of months things can come?

Manish Gupta: Yes, absolutely.

Abhishek Kumar: Okay, great. That's very helpful. Thank you in all the best.

Moderator: Thank you. The next question is from the line of V.P. Rajesh from Banyan Capital. Please go ahead.

V.P. Rajesh: Just trying to understand your pricing model ...

Moderator: Sorry to interrupt you, sir. May I request you to please use your handset?

V.P. Rajesh: Yes, so my question was, I'm new to the company, so I'm just trying to understand your pricing model. Are you selling a product where you have a SaaS model or is it a typical IT service type of model? Just if you can comment on that?

Suhas Prabhu: Sure, sir. Yes , thanks, Rajesh. So, we are not a SaaS product or our engagement models are not similar to the SaaS and subscription or licensing kind of companies. It would be closer to the IT services kind of model with a bit of nuance. We typically engage with our customers on multi - year framework agreements or master service agreements with the rates contracted for the entire tenor. This could be 2 years, 3 years, even 5 year tenors.

These rate charts tend to be a combination of both time and material or FTE kind of billing and therefore per hour or per day or per month kind of rates, but also a set of predefined deliverables wherein there is a unit price which is already defined and even these could be having multi -level complexities or tiering, right?

And therefore, when we design a SOW, which is typically on an annual basis, where these rates and the volumes that are estimated get aggregated and converted into a value, there is a combination of time and material and fixed price construct in the SOW when we contract, and this is typical for both enterprise commercial and enterprise medical, which is about 82 %, 83% of our business. So that's our typical engagement and pricing.

V.P. Rajesh: Great, I appreciate that. And my second question is that, given what we are seeing in the U.S. market, there could be a potential recession or definitely a slowdown that the market is anticipating over there. So in that context, as you can make out, how do you see the sales

and

marketing piece of the business that you talked about getting impacted, meaning your customers, which are the top 20 pharma companies, especially your top clients, coming back on some of that spending? So any thoughts and how are you thinking about that?

Manish Gupta: So from our perspective, and I think I've alluded to that in the last call, we don't see healthcare and definitely pharma sector being correlated to economic cycles . This is a sector which is much

Indegene Limited

August 02, 2024

Page 14 of 16

more resilient, compared to other sectors in a downturn. This sector has its own innovation cycles .

There are a bunch, for example, I spoke about a bunch of launches which are coming up and hence growth will be stronger. Sometimes you have a bunch of patent expiries, which could cause slowness or like last year, what happened was a bit of a decline. But those declines are, by the way, really once in a while.

In 2023, they happened. Before that, they had happened in 2012 or so . Typically, it's a long secular growth followed by one year of patent expiries coming together and impacting things. But it's reasonably immune or resilient vis -a-vis economic cycles.

V.P. Rajesh: Okay, thank you. That's all for now.

Moderator: Thank you. The next question is from the line of Rohan Vora from Envision Capital. Please go ahead.

Rohan Vora: Yes, so first question was on the competitive landscape that you see today. So basically, as I understand, we also compete with the IT companies of the world in some part of the business and with the advancement of AI, their offerings on AI to the clients. How do you see that shaping up?

Also, another aspect to this is that the pharma companies, their own AI advancements impacting the business that we can garner from them. So how do you see that shaping up is the first question? And then probably I can ask the second one.

Manish Gupta: Sure. So before, I think I would again want to reiterate we are a very different company. You've got to not think about us as an IT services company over here. We are a business services company. We're helping pharma companies do sales and marketing more effectively, managing their regulatory compliances more effectively, or helping in clinical trials. It's an area which we continue to invest in.

These are super critical areas, business areas. 21% of our people are medical doctors, PhDs, pharmacologists, working with data engineers, data scientists. On one hand omnichannel orchestrators, digital experts, and therapeutic area experts, oncology experts, bunch of those kind of profiles on the other hand, where as you can imagine that's a very different profile set from any of the IT services companies.

Now, coming back from a competitive landscape perspective, the few large categories or the incumbents in this space, servicing the areas I spoke about are - one is CROs, the clinical research companies especially on the medical side of the business, there are agencies, specialized healthcare agencies and what are called contract sales organizations, servicing the remaining two segments which is enterprise commercial and omnichannel activation. Those are the incumbents.

Significant market share still remains with them and as a factor of more and more shift towards digital, shift towards centralization, driven by the needs of better compliance, better cost and

Indegene Limited

August 02, 2024

Page 15 of 16

obviously doing digital in a much more effective way, a company like us has the right to exist and win. So to that extent yes those are the competent sets. Now, of course, we see IT companies playing in some of these things and not so much Indian IT companies, but I would say some of the global ones which are more credible.

Outside of that as far as AI is concerned, our strategy as Indegene in many of the areas for a long period of time, has

been bringing specialized expertise in various areas and technology tools and platforms to deliver better outcomes. We started investing in these AI-based tools way back in 2016-17, when Gen AI was not launched, but we were using traditional machine learning, computer vision, NLP type of technologies and techniques to build tools which are delivering differentiated outcomes.

That enabled us to grow and win much more. Now, with Gen AI coming in we see that as an opportunity. There are a lot of processes which are being done in a traditional way. The level of accuracy and the benefit which can be driven by incorporating Gen AI in the solutions becomes much more. So net-net we believe in the medium to long term, that's going to be an opportunity for us.

Rohan Vora: Got it. And on the other piece about companies doing it themselves basically so reducing our share in the wallet, does that worry you?

Manish Gupta: Not really. Some of the things which we do, especially specialize in, these are very complex, multi-skill, multi-geography type of engagements. We will have people sitting in Bangalore and those are not going to be one set of skill sets. There will be digital experts, there will be technology experts, there will be content experts and just think about multiplying this complexity in 40 countries where we'll be executing these things and technology changing every day - that's not a pharma company internal thing.

Skill sets which are very homogenous and I would say so, those are the things which companies are trying to internalize with the advent of Gen AI, but ours is operationally much more complex.

Rohan Vora: Got it, understood. And my second question was on the four new wins that you said, mid-sized companies. So a bit more color on that would be helpful, the size of the companies, the area of offering probably and just one thing on the debt part, so the interest outflow going forward will be negligible?

Suhas Prabhu: Let me take the second question. Interest outflow is going to be zero. We repaid the debt pretty much just before the end of the quarter. So from Q2 onwards interest outflow would be zero.

And a bit more color on the wins that Manish mentioned. There are three of them are in the commercial area and one in the medical area.

One out of the four is actually an expansion of an existing engagement in a significant way and these companies tend to be of a size, give or take, a little around USD 5 billion in revenue. Some might be a billion lower, some would be in the range of USD5 to USD 10 billion. So while these are mid-sized companies in the industry context, these are fairly large organizations, with global operations and multiple products.

Indegene Limited

August 02, 2024

Page 16 of 16

Rohan Vora : Understood. Thank you. I'll get back in the queue.

Moderator: Thank you. The next question is from the line of Harsh Chaurasia from Vallum Capital. . Please go ahead.

Harsh Chaurasia: Good morning, sir. Thanks for giving me this opportunity. So I have one question. So basically last two, three months we have seen the healthcare and pharma GCC getting set up in India. So I wanted to know what can be the potential revenue impact of healthcare GCC getting set up in India on us? And secondly, could you please help us understand what is the kind of work, that is getting done in GCC and what we are doing? Can you differentiate between two of them? So that's it.

Manish Gupta: Sure. So that's a good question. Now let me start with that one. Every GCC is pursuing different strategies over here. There are a few GCCs which are doing a lot of IT work. They realize they don't want to do, they want to take some of the external IT spend and do it internally, given it's a very homogeneous skill set required. We have seen some of those. Some of the high value, very high value added medical stuff which was being done,

we see some of them doing this part.

But net-net one of the big challenges we as Indegene have faced over the last 10, 15 years is that we are going and selling to companies that what we could do a lot of your very high end, super critical work of helping you reach out to your physicians, patients, regulators, payers, develop all the material required, run the analytics, campaigns, build technology in an integrated way with a significant portion of our teams being in India. Customers were slightly, I would say skeptical about that.

While IT services being done out of India was accepted, but some of these business services they were always worried about. The establishment of GCCs at one level actually from our perspective is an indication that customers are buying the ability that a lot of this work can be done out of India. So net-net from our perspective we believe it's a very positive thing.

We don't have to sell India anymore which we had to do a lot earlier. All the GCCs that are getting set up, all of them are our customers and while they are setting up some capabilities on their own, we are having conversations with them on what are the capabilities they would like to run with us.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, we will take that as the last question.

I would now like to hand the conference over to the management for closing comments.

Manish Gupta: Thank you so much for joining this call and for a lot of these questions. I know we couldn't answer all the questions. Please feel free to reach out to our investor relationship team and we would be happy to answer those questions offline.

Suhas Prabhu: And we look forward to meeting you all in the next earnings call as well and thanks again for your participation. Have a good day.

Moderator: On behalf of Indegene Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

Indegene Limited (Formerly Indegene Private Limited),
Third Floor, Aspen G -4 Block, Manyata Embassy
Business Park (SEZ), Outer Ring Road, Nagawara,
Bengaluru - 560 045, Karnataka, India
Phone: +91 80 4674 4567, +91 80 4644 7777
www.indegene.com
CIN: U73100KA1998PLC102040
INDGN/SE/2024 -25/63

November 4 , 2024

BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400001, India.
Scrip Code: 544172 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051, India.
Trading symbol: INDGN

Dear Sir / Madam,

Sub: Transcript of the conference call on financial results for the quarter ended September 30, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call for the quarter ended September 30, 2024, conducted after the meeting of the Board of Directors held on October 28 , 2024.

The above information will be made available on the website of the Company: <https://www.indegene.com/>

This is for your information and records.

For Indegene Limited
(Formerly known as Indegene Private Limited)

Srishti Ramesh Kaushik
Company Secretary and Compliance officer

Page 1 of 12

"Indegene Limited
Q2 H1 FY '25 Earnings Conference Call "
October 29 , 2024

MANAGEMENT : MR. MANISH GUPTA – CHAIRMAN AND CHIEF
EXECUTIVE OFFICER – INDEGENE LIMITED
MR. SUHAS PRABHU – CHIEF FINANCIAL OFFICER –
INDEGENE LIMITED

Indegene Limited
October 29 , 2024

Page 2 of 12

Moderator : Ladies and gentlemen, good day , and welcome to the Indegene Limited Q2 H1 FY '25 Earnings Conference Call . As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek. Thank you , and over to you, sir.

Abhishek: Thank you, Sejal. A very good morning to all of you and thank you for joining us today for Indegene's earnings conference call for the second quarter and half year ended financial year 2025. Today we have with us Mr. Manish Gupta, Ind egene's Chairman and CEO ; and Mr. Suhas Prabhu, CFO , to share the highlights of the business and financial for the quarter.

I hope you have gone through our results release and the quarterly investor presentation which have been uploaded on our website as well as the stock exchange website. The transcript for this call will be available in a week's time on the company's website. Please note that today's discussion may be forward -looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.

I now hand over the call to Manish to make his opening remarks.

Manish Gupta: Thank you, Abhishek . Good morning all and thank you so much for joining our third earnings call as a listed company for our Q2 and H1 FY '25 performance. Now, in the two calls before this, we have spent time explaining our business to you all, the industry, the sub -industry segments, growth drivers, customer archetypes, our business segments, opportunity, etc. This, we believe, was important because, as I said in my two earlier earnings calls also, we are a very unique business operating in a very specialized domain and not many parallels to draw from. And hence, we thought this investment and explaining the business is going to be useful. This time, however, let me get straight to how we see the opportunity space shaping up and our performance in Q2 and H1.

As you are aware and I have alluded to earlier, the global life science industry is north of USD 1.8 trillion in size and the operational spends that are addressable to us are more than USD 135 billion. 40% of this is attributable to sales and marketing. This is a place where we have our largest footprint. Spend in all the areas we operate in, which is essentially regulatory, medical affairs, sales and marketing, pharmacovigilance, all these areas are increasing at a rate of 6 % to 7% percent annually from a spend perspective.

Outsourcing continues to grow much faster, around 9 % to 14 %, depending on the segments I just alluded to. Outsourcing in sales and marketing is on the higher side. Apart from the increase in spend and outsourcing, there's also a shift to digital. All the stuff which we have alluded to earlier in our call continues to stay relevant and we see the industry move in this direction.

Now coming to the top 35 global pharma companies which we have spoken about earlier, CY 2023 was a year of negative growth after very significant growth before in the COVID years. It

Indegene Limited

October 29 , 2024

Page 3 of 12

was negative growth, degrowth, but these trends started reversing in 2024 and 2024 is anticipated to be a year of modest growth, setting the stage for recovery for the industry after a bit of lull .

The top 35 pharma companies are expected to grow at a CAGR of 5% to 8% from 2025 to 2028.

This higher growth rate is mainly attributed to upsurge in drug launches, which is always favourable to the growth of the industry

and from our perspective, outsourcing opportunities.

As companies are going to launch more products and they would be outsourcing more, and this presents an opportunity to use digital solutions to drive better physician and patient engagement at reduced cost while driving better customer experience. We are well positioned to capitalize on this anticipated increase in activities and hence increased outsourced spending while continuing to deepen our current capabilities, engagements, and relationships with these clients.

Given that we are a relatively small company in this very large market, when we plan our execution, a lot of these trends which I just spoke about give us comfort.

Now let's come to our performance. Q2 FY '25 revenues came in at INR6,868 million, a growth of 8% year-on-year and 1.5 % sequentially. For H1 FY '24-'25, our year -on-year revenue growth has been 9.7 %. The revenue growth is attributable to both the enterprise segment, enterprise commercial and enterprise medical segment. These are segments which constitute 85 % of our business and these are segments where our engagements are with the enterprise. These are recurring in nature and have been going on for a long period of time. Both these segments grew by a healthy 3.6 % sequentially.

Till recently, these segments for us were very heavily concentrated on the top 20 life science companies. While we continue to see interest in these segments, the top 20 life science companies, for expansion and deepening their footprint from a capability perspective with us, we also see interest even with a larger set of 20 to 100 life science companies who are setting themselves in the right way to adopt these models as more launches and the adoption of digital increases.

Now from the segment view, let me jump to the customer view. Our growth is largely driven by positive momentum in both big pharma and mid -size pharma. Our largest customer, which was approximately USD42 million in revenue last year, continues to grow. The revenue from top five accounts has grown 2.3 % sequentially. We had called out two of our top five customers where we had seen downward pressure in revenue. We have seen the revenue from these two accounts stabilizing and now we are engaged in discussions on expanding current engagements and also exploring new areas of expansion with them.

We believe engagements with these customers should start improving from next calendar year. I say next calendar year because our clients have calendar year budgeting cycles and hence impact is expected in the new planning cycle in CY, which is calendar year 2025. The customers outside of our top 20, specifically in the 20 to 30 brackets, grew at a much faster pace of 10.1 % sequentially, which brings me to the point I mentioned earlier that now in our enterprise segments also we are seeing a much broader set of customers engaging with us and trying to adopt new models.

Indegene Limited
October 29 , 2024

Page 4 of 12

We continue to see traction here as well and we continue to expect these segments to grow in CY '25. Finally, the total number of active clients grew from 65 to 68 and USD 1 million clients grew from 36 to 37 in Q2. More than 95 % of our revenue continues to come from the US and EU regions, so that kind of remains stable and we expect that to remain stable. Our cash position remains strong, and we now have a tad below INR1,500 crores, INR1,467 to be more precise in cash and cash equivalents. We continue to actively scout for M&A opportunities and have a healthy pipeline of potential opportunities right now.

Before I pass this on to Suhas to talk a bit more about margins and dig deeper into some of the financials, I again want to reiterate that we are a very different business, focusing on core commercial sales and marketing, medical affairs, regulatory affairs, and clinical different functions of the global life science

industry.

This is an industry which has been behind in shaping their functions using technology, but now due to various imperatives is in the path of doing that. Albeit given the regulated nature of the industry in a guarded way, it is a very large spend and is a large opportunity in the long run. In that context, view this in a medium to long -term perspective.

With this, I will pass it on to Suhas to double click on some of the financials and of course the margins. Suhas, over to you.

Suhas Prabhu: Thank you, Manish. Once again, a very good morning to everyone and we appreciate your participation on this call today. Let me get into the details of the financial performance for the quarter by starting with the segmental performance.

Manish already mentioned that the Q2 revenues grew by 8% year -on-year and 1.5% sequentially to INR6,868 million. Specifically, the Enterprise Commercial Solutions segment, which is our largest segment, has grown 3% sequentially and the Enterprise Medical segment, which constitutes around 29% of our revenues, has grown by 4.6% sequentially. Again, both these segments combined constitute 85% of our revenue and the growth in these two core segments reflects the positive momentum that Manish has already alluded to.

This growth was partially offset by the degrowth in the other two segments, omni -channel activation, and consulting, which is part of the others, which have a higher proportion of non - recurring project revenues of shorter tenure and the degrowth is a reflection of a portion of such projects concluding with a lower take -off revenues from new projects.

Now, let me move to the revenue by customer industry segment. The revenue from the biopharma segment of our business continues to be stable at 94%, followed by medical devices and emerging biotech, which together add to about 5%. This is marginally lower than the

previous quarter.

The revenue by customer geography continues to be 95% and between North America and Europe. I would like to highlight that we have restated our Q1 revenue mix by geographies. This largely impacts the North America and Europe part of the segmental revenue. We have now made it consistent basis location of the origination of the business rather than a combination of

Indegene Limited
October 29 , 2024

Page 5 of 12

that combined with the delivery of consumption locations. This restatement has resulted in a shift of about 4% between Europe and North America.

And post this restatement, revenue from North America is 69.1% versus the 64.8% that we reported for Q1. And Europe, similarly, would be 27.9% versus 32.2% that we reported in quarter 1. The same has also been updated in our fact sheet for the current quarter. Coming to the geographical segmental revenues for the current quarter, this continues to be similar with North America being 70.2% and Europe at 27%.

With those details on the revenue by segment, let me now move to margins, starting with the EBITDA. The EBITDA for the quarter stood at 18.4%, a drop of 120 basis points sequentially. The annual wage hike was effective July 2024, and this has an adverse impact of approximately 220 bps on the margin. And this was offset partially by improved productivity through better capacity management and automation, resulting in a net impact of 120 bps. The exchange rate during the quarter had a non-material impact with the USD strengthening marginally against the rupee while weakening against euro and GBP.

Coming to the interest charge, our interest charge on the debt servicing for quarter 2 was zero versus INR73.9 million in Q1. And this was following the repayment of the outstanding debt in the last week of June of 2024 from the IPO proceeds. This, combined with a small reduction in the tax charge, has a favourable impact on the PAT for the quarter, which stands at 13.4%, an improvement of 0.4% sequentially. Our return on equity post the IP

O continues to be in the early

20s at a healthy 21%. And return on capital employed, net of cash, continues to be around 48%.

With that, let me summarize today's call. Our top five accounts continue to grow. And more specifically, the two accounts that Manish had mentioned in our last call, which are part of our top five, have stabilized and the core business segments, which is the enterprise business segments, have grown at almost 3.6% sequentially. And this is assuring to us a given sustainability of growth in these two segments.

And finally, the ramping up of revenue from the new logos, which has started in quarter two, and will continue to grow in the coming quarters, gives us confidence for a growth in support heading into H2. With that, I'll take a pause and move on to any questions and queries that you may have.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Abhishek Bhandari from Nomura. Please go ahead.

Abhishek Bhandari: Thank you for the opportunity. Thank you, Manish, and Suhas for the presentation. I had a couple of questions. First, Manish, good to see growth coming to your top accounts. Given that there is stability happening here, should we expect the growth momentum on your side to improve from here? Where I'm coming from is, you know, in the opening comments you said the pharma industry is expected to stabilize and grow better compared to last year. Last year we grew around 8% year on year on revenue. So should we expect the growth improvement over the next couple of quarters to be less?

Indegene Limited
October 29 , 2024

Page 6 of 12

Manish Gupta: I would say that all the parameters, the industry seems to be stabilizing, preparing for the next set of launches and in a slightly difficult situation given that there are expiries as well and they're looking for new operating models, which is where we are really uniquely placed. And the fact is that some of the challenges we face with a couple of clients, they seem to be behind us and we're having very positive conversations with them right now. So there are a lot of these positive things going on on Abhishek and we feel good about the next few quarters.

Abhishek Bhandari: Okay, Manish, the second question is on your omni-channel business. I think Suhas referred to certain project-related and consulted businesses over there.

Moderator: Sorry to interrupt you, Mr. Abhishek. I would request you to please use your handset.

Abhishek Bhandari: Is this better?

Moderator: Mr. Abhishek? due to no response from the current participant, we will move on to the next participant. The next question is from the line of Srivathsan Ramachandran from Avendus Park.

Please go ahead.

Srivathsan R.: Hi, I just wanted to get some sense on this ramp -down that you're talking about on the project - specific. How should we look at this? Is it we're more or less done at the end of the ramp -down cycle or is there more to go from it to a downward pressure?

And just following that, if this is a little bit more project -heavy business, is there any sense you can give us on pricing and sales cycle versus our larger piece of the business? Just wanted to get some sense on that.

Manish Gupta: I'm assuming you're talking about the two segments which Suhas spoke about, which de -grew, right? The omni -channel and consulting parts of the business. Yes. Okay. So as far as those segments, I'll again let Suhas chip in. As Suhas mentioned, there are some projects which winded down, right? And that's a typical nature of the business, long projects, get over. But typically you have other projects which kick in, right, from these customers.

While the projects winded down, the project kick-off has been slow, and that's what hit this quarter over here. But we have a healthy pipeline, right, from this perspective. So we're not worried. We b

elieve that the revenue ramp -up in these segments also, especially omni -channel, will pick up soon. Suhas, y ou want to add on?

Suhas Prabhu: Yes. Thanks, Manish. So the project part of the business here tends to be a tenor of between three to nine months, say an average of five to six months in duration. And, as these wind down, right, a lag in either newer projects coming in from the same logo s or new logos, right, causes a bit of perturbation here. Having said that, the pricing levels are not too different at a, I would say, contribution margin level. The units in economics of even revenues in these segments are pretty similar to the other segments.

But, of course, at a segmental performance level, when you look at our segmental results, given the current scale of operations of these two businesses, which are relatively much smaller than the rest of our business, the overheads at a division level, segment level, causes these to be at a

Indegene Limited
October 29 , 2024

Page 7 of 12

break -even to marginally negative level. From a segmental perspective. But having said that, the pricing levels, especially at a contribution margin level, are quite similar to the rest of the business.

Srivathsan R.: [inaudible 0:22:00]

Moderator: Sorry to interrupt you sir. You're not very clear. I would request you to use your handphone.

Srivathsan R.: Sure. Is it better now?

Moderator: Yes, sir.

Srivathsan R.: Just wanted to get your sense on how you look at, well, you articulated medium -term growth ahead of industry growth. What would it take in your assessment to be mid - to late -teens in terms of revenue growth cycle? Is it just the broader outsourcing budget should grow or is there more something that we can do, gain more markets? I just want to get your thoughts on what would it, in your assessment, require for a mid - to late -teens revenue growth from our 2 -3 perspective.

Manish Gupta: As we indicated earlier, from our perspective, from a pure capability set, I think we are reasonably well covered. The few drivers for growth for us is going to be, the first one is mining our existing customers. We've always said that we are present in to p 20 pharma companies and a bunch of other customers.

Just getting deeper with them is going to be our priority one, which we continue to execute on.

That's the first set of, I would say, important thing. We will continue to also broaden our client base. Today, we have 37 USD 1 million plus customers. We believe the 37 USD 1 million plus customers should go much higher. Our highest segment right now is 25 million plus.

We are hoping that in the next few quarters, we will have a category which is going to be \$50 million plus. Those are going to be moving in the right direction as far as some of these metrics are concerned. Increasing the number of million -dollar customers, increasing the number of 10 million -plus customers, 25, moving customers into the 50 -plus category.

If I take medium -term, that will be one step. The total number of active customers right now is 68. They will also go higher. We are deploying resources to make that happen. In the medium -term, I don't think that will be a major growth driver. Along with that, we continue to do tuck -in acquisitions to expand our capability or round -off capabilities that we have to be able to offer much more integrated and robust solutions to our existing client base.

These are three or four things which we execute on, but we don't think that we have to do anything drastically different. Once this cycle of ups and downs with our customers gets a bit stabilized across the board, we believe we have most of the right piec es in place to be able to drive growth.

Srivathsan R.: Sure. I'll come back later. Thank you.

Manish Gupta: Thank you. The next question is from the line of Rohan Vohra from Envision Capital. Please go

Rohan Vohra: Hello. Thank you for the opportunity. The first question was a slightly broader question on what kind of discussions are you having with some of your top clients? You said that there's a new product launch pipeline and to offset that, there are some expir ies that are happening. What are the kinds of opportunities you see there? If you can just give us some color on that. Also, what are some risks you see with respect to the discussions that you're having? That would be my first question. Then I can probably have the next one.

Manish Gupta: Sure. We are obviously having multiple sets of customers given the segments we operate in across the board – commercial, omni -channel, regulatory, safety, medical affairs. But if I just talk about some of the broad themes, and these are themes which have t he potential for slightly larger engagement, the theme which we see is as companies are preparing for more drug launches and have budgetary pressures, they are now looking at the next set of operating model centralization and tweaking.

They were doing a bunch of activities with a company like us, like on content, campaigns, analytics, in an integrated way. And our enterprise solutions, a lot of our revenues came from those engagements. As they prepare for the next set of waves, they are now thinking about how to centralize some more upstream activities, which are typically right now done by agencies. So that's the discussions we are having with a bunch of our customers, and those are much larger and, from their perspective, strategic spend areas. And we are very excited about that opportunity. As far as risk is concerned, the risk we see, which is alw ays in this industry, is on timing.

How quickly will they ramp up at what pace, given that, as we said earlier, this is a very cautious industry. So risk is on timing rather than whether it's going to happen or not. The industry doesn't have too many options but to move into these more effi cient operating models. Suhas, do you want to double -click on this or add anything?

Suhas Prabhu: Maybe just from an engagement perspective, contracting perspective, Rohan, especially for the 85% of our business, which are the two enterprise segments, our contracts in most cases cover all products under the portfolio. And we tend to be a partner coveri ng all the products and, therefore, launches and launch products are typically naturally flowing into these engagements, while there would also be end -of-life products wherein the activities would come down to zero as our customers stop inves ting in those products and activities that we do as they lose exclusivity.

So this is a continuing cycle and, from a macro perspective, as the number of launches increase and there is growth in our customers' activities, which results in higher volumes for us and higher revenues for our customers, this tends to be a positive deve lopment, even for us. As we expand with our customers through this journey.

Rohan Vohra: Sure, sure. And anything specific that you've noticed? Because the big pharma companies generally go about their budget in November, December. So anything specific that is encouraging that you've noticed from the discussions you've had and anything that i s a cause of concern?

Suhas Prabhu: So, Rohan, it's a bit early. As you rightly said, most of our customers have a calendar year planning cycle, which is also their fiscal year. And as you rightly pointed out, this is the period, starting October, going on through till December, maybe early January, wherein the activities for the next year are going to be in December.

And the budgets for the next year get planned and locked in. Having said that, I would repeat what Manish already mentioned. With most of our customers, there will be, of course, customers where the pipeline is n

ot as robust as the rest or is trailing the industry, but with most of our customers the direction of the discussion is in terms of stable to increasing activity in the future as they prepare for more products, more launches going into 2025 and even beyond.

Rohan Vora: Understood. And just if I can squeeze one last question. So what I see is our enterprise medical solution business has done phenomenally well as compared to the other three divisions over the last three year, four years, if you see the numbers. So what is working for us in that division and how sustainable is this kind of growth rate?

Suhas Prabhu: Sure. So as you rightly pointed out the growth rate in the enterprise medical has been a tad higher

than the enterprise commercial. But having said that let me actually focus on enterprise commercial. The two customers that we had certain headwinds issues due to their restructuring and internal kind of issues that they also impacted us impacted almost entirely the enterprise commercial segment.

So if you keep that aside, we would say that both these segments continue to grow. And with those two accounts stabilizing we believe that going forward at an aggregate level also we would start seeing similar growth even in the enterprise commercial segment. But having said that, I wouldn't say there's any particular trend or any specific reason why one segment should be growing at a pace faster than the other. In the longer run, we believe both these have enough wheels and similar factors impacting both businesses where we stand today.

Rohan Vora: Thank you so much. I'll get back in with you.

Moderator: Thank you. The next question is from the line of Satish Kumar from Kotak Bank. Please go ahead.

Satish Kumar: Hi, thanks for the opportunity. A couple of questions from my side. Can you provide an outlook on revenue synergies from the Cult acquisition and the decline in omnichannel activation was related to Cult? And second is what gives you comfort that the digitization trend in license operations, especially in S&M is continuing to grow at a good pace given that there could have been some normalization post the COVID crisis?

Manish Gupta: So I'll pass it on to Suhas. Satish, good question. I guess some bit of normalization had to happen on the sales and marketing side because obviously COVID pretty much went 100% remote. That has already happened much earlier. Having that major reaction of doing more physical, the question again is going back to ROI spends, optimizing, seeing the effectiveness of these spends and what is the right operating model to deal with the fact that you have to launch multiple products which is super expensive.

Indegene Limited
October 29, 2024

Page 10 of 12

And you're losing patent, or your expiries are happening for patent for a bunch of others. And on the ground channel is expensive and very clearly not that effective. So companies are now getting back to the right model which is not going to be as aggressive as it was in COVID, but they're finding the right model. And we see that conversation across the board where we are actually now also having conversations with clients where they're talking about for at least a bunch of their mature portfolios, 100% digital kind of plans being made.

So if we see those conversations actually back on the table rather than the other way around. So that's one part. Again, as far as Cult is concerned, Cult has now got integrated and works along with the enterprise. On the omni-channel is where we report Cult, but interestingly we are also seeing a lot of synergies between Cult and enterprise commercial solutions.

Some of the stuff which I spoke about of moving upstream and aggregation, centralization of some of the agency spends as opportunities with our customers, we are standing out really in the marketplace pretty much without I would say no alternate because of the fact that

we can bring

these two sets of capabilities together, creative, planning, medical, along with global capabilities to do things at scale. And those are the kind of opportunities we are seeing because of the Cult acquisition. So Suhas you want to again add on anything to this?

Suhas Prabhu: Yes. So Satish the focus on the integration which Manish already mentioned the Cult and omni-channel are pre-Cult omni-channel activation which together today constitutes our omni-channel activation business has focused on the joint go-to-market operations as well as offerings. And our focus continues to remain so. There might be synergies on the cost and therefore margin side which is not the focus as we speak because we see a large market opportunity.

And as Manish already mentioned, we see emerging opportunities by integrating some of the capabilities that we acquired through Cult, combining that with our enterprise commercial segment and going a little more upstream in that offering. And some of the expansion opportunities, the large-deal pipeline actually incorporates this as we speak. And hopefully in the coming future, we will see an expansion from the capability set in enterprise commercial also coming from some of the capabilities that we have onboarded through the Cult acquisition.

Satish Kumar: Got it. Very helpful. And one final question from me. How should one look at the revenue decline in Europe, medical devices of India, and ROW? I mean, is this linked to the decline in omni-channel activation and others, is it more of a one-off nature?

Suhas Prabhu: So, Satish, some of the one-offs, of course, are from the emerging biotech or the med devices, given that the scale of business that we have with these segments would also be more a project-by-project or a brand-by-brand which is typically not what we do in the enterprise segment.

Enterprise segments, as we have mentioned in the past cut across the enterprises, cutting across multiple regions and multiple products or all products that our customers may have.

Whereas a product-level engagement tends to be more in the omni-channel activation or the

consulting or others segment of our business. So, there is a correlation. I would say there's not much of a correlation from a significance perspective, rest of the world or India. But having said that our focus continues to be North America, US and Europe which are the major markets for Indegene Limited
October 29 , 2024

Page 11 of 12

the innovator pharma which is where we operate. And given that US, Europe is 92%, 93% of the global pharma outsourcing spend. We are a little bit more indexed on that today, but we continue to have presence in other markets such as China, Japan, India, and the like, but as of now the customer focus and therefore our focus tends to be Europe and US.

Satish Kumar: I got that, sir.

Moderator: Mr. Satish, does that answer your question?

Satish Kumar: Yes. Thanks a lot for your comprehensive answers. I'll get back into the queue for further questions.

Moderator: Thank you. The next question is from the line of Sarang Sanil from RW Investment Advisors. Please go ahead.

Sarang Sanil: Good morning, team. Thank you for the opportunity. I had two questions. Firstly, was there any material expense booked in other expenses that you'd like to call out and where would you like the margins to settle in FY25 and 26? I believe in Q4, you had mentioned that you'd like to be in the 22% to 24% bracket, but the computation of EBITDA was slightly different, and margins looked optically higher back then?

Suhas Prabhu: Yes. So, Sarang, let me take the second question first. As we had mentioned in the last earnings call, we have slightly revised the computation of EBITDA based on the feedback that we got from participants, investors in the market. And we now exclude the interest income part of the other income in the EBITDA computa

tion. And therefore the EBITDA including other income

which was in that range of 22% plus excluding that the same would be about 2% lower in the region of 20% to 21%. And so that's the first one.

Coming back to your first question on the other expenses, the other expenses and more specifically the constituents of the other expenses which have changed quarter-on-quarter basis have been largely the subcontracting and the freelancing kind of costs. These are costs that we incur when we onboard subject matter experts for certain specific engagements either from a technical, clinical competency that we get from external consultants and advisors or certain activation roles that are needed for new engagements especially in certain regions in Europe and maybe even in the US.

Sometimes it also includes onboarding of people through staffing agencies, but those would be minor, coming out of countries where we may not have our own physical presence to onboard the people directly. And this has marginally grown. You can read that in line with the growth of revenue, especially when we have onboarded the new logos that have contributed to revenue. Some of these costs kick in. Having said that, it's not a material change and we don't anticipate that to change drastically. These would vary depending on the phase of the project, but it's not a material move.

Sarang Sanil: Sure sir. So the 20% to 21% EBITDA margin that you had alluded too, is that your exit margin goal for this year or do you think you would have this next year?

Indegene Limited
October 29 , 2024

Page 12 of 12

Suhas Prabhu: Yes, so we would want to – we are striving to operate in that 20% region and as you can see this quarter, we clocked EBITDA of 18.4% which was despite the 2.2% adverse impact of the annual wage bill hike. Our effort on productivity enhancements and other such initiatives continue to provide a positive impact on the margins which we believe should continue going forward. And therefore we should on a full year basis, try and get towards that 20% and in the medium term I would say in the next two to three years, go even beyond that.

Sarang Sanil: Sure sir. Secondly, with a lot of blockbusters going off date in the next one to two years, is there any spending behaviour change with your clients due to this and how differently are they planning to tackle this time compared to the patent cliffs that happened in the last decade?

Manish Gupta: The difference between the last decade and this time is that last decade the pipelines were pretty weak. Before the last patent expiry, most of the drug pipelines or actually the composition of products in the market were more primary care type of products. And when they expired, these are very large products. The pipeline was weak because of multiple reasons, financial, FDA being more stringent and hence they had to some extent quite a tough impact.

This time, when patent expiries are happening, the pipeline is pretty strong for most of the

companies. And hence the imperative is slightly different, that how do we really get prepared for these new set of launches. Nevertheless, there is financial pressure because as I said launches are expensive and if you're losing patents on existing drugs you have to optimize your operating models. And this is what we are seeing and hence they're taking time to get their operating models in place. So our sales team, solutioning teams have been super busy in working with these clients to get that right, I would say pretty much this entire year.

Moderator: Thank you. The next question is from the line of Nikhil from Kizuna Corporations. Please go ahead.

Nikhil: Thank you for giving me this opportunity. Sir as I can see [inaudible 46:08].

Moderator: Mr. Nikhil, I would request you to please use your handset. Due to no response from the current participant, we will move on to the next participant. Due to time constraints,

we will take that as

the last question. I would now like to hand the conference over to the management for closing comments.

Suhas Prabhu: Again, thank you for your participation on this call today and your continued interest with our company Indegene. We look forward to this engagement and interacting with you again in our next earnings call. Thanks once again and have a good day.

Manish Gupta: Thank you, everyone. Happy Diwali to all of you.

Moderator: On behalf of Indegene Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

(no extractable text — likely a scanned image PDF)

Call: May 2025

(no extractable text — likely a scanned image PDF)

Call: Aug 2025

Indegene Limited
Third Floor, Aspen G -4 Block, Manyata Embassy
Business Park (SEZ), Outer Ring Road, Nagawara, Bengaluru-
5

60 045, Karnataka, India

Phone: +91 80 4674 4567, +91 80 4644 7777

w

www.indegene.com

CIN: L73100KA1998PLC102040

INDGN/SE/ 2025 -26/50

August 06, 2025

BSE Limited,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400001, India.

Scrip Code: 544172 National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex, Bandra (E),

Mumbai – 400 051, India.

Trading symbol: INDGN

D

ear Sir / Madam,

Sub: Transcript of the conference call on financial results for the quarter ended June 30, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call for the quarter ended June 30, 2025, held on 01st August 2025.

The above information will be made available on the website of the Company: <https://www.indegene.com/> .

T

his is for your information and records.

Yours Sincerely,

For Indegene Limited

Srishti Ramesh Kaushik

Company Secretary and Compliance Officer

Page 1 of 16

"Indegene Limited

Q1 FY '26 Earnings Conference Call"

August 01, 2025

MANAGEMENT : MR. MANISH GUPTA – CHAIRMAN AND CHIEF EXECUTIVE
OFFICER – INDEGENE LIMITED

MR. SUHAS PRABHU – CHIEF FINANCIAL OFFICER – INDEGENE
LIMITED

MR. ABHISHEK AGARWAL – HEAD OF INVESTOR RELATIONS -
INDEGENE LIMITED

Indegene Limited

August 01, 2025

Page 2 of 16

Moderator: Ladies and gentlemen, good day, and welcome to Indegene Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Abhishek. Thank you, and over to you, sir.

Abhishek Agarwal: Thank you, moderator. A very good morning to all of you, and thank you for joining us today for Indegene's earnings conference call for the first quarter of the financial year 2026. Today, we have with us Mr. Manish Gupta, Indegene's Chairman and CEO; and Mr. Suhas Prabhu, CFO, to share the highlights of the business and financials of the quarter. I hope you have gone through our results release and the quarterly investor presentation, which have been uploaded on our website, as well as on the stock exchange website. The transcript of this call will be available in a week's time on the company's website.

Please note that today's discussion may be forward-looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.

I now hand over the call to Manish to make his opening remarks.

Manish Gupta: Thank you, Abhishek. Good morning, everyone. Thanks for joining our Q1 earnings call. Today, what I'll do in this call, apart from our Q1 results, we'll also touch upon some of the external trends. We spoke about them last time, and so we'll just double-click on what we are seeing. We'll also lay out our FY '26 outlook and strategic priorities.

Now starting on the external perspective, there was some renewed talk about U.S. pharma tariffs in the last few weeks. Now at least what we see from is that this continues to be a nonfactor, not a big thing at all for the innovators. We say this based on all the analyst commentary and more importantly, based on our customer interactions. There have been some other program announcements like the National Priority Voucher program by the FDA that should positively impact drug review time lines and maintain high throughput of drug approvals and launches.

Also, there were the changes at CDC's ACIP, the immunization Advisory Committee, which might have a little negative impact on the vaccine subsegment, but not material.

The bigger item was passing of the -- what has been called the One Big Beautiful Bill Act. There are some positives in it for the pharma industry, a broad exemption for rare disease drugs from the Medicare price negotiation program and preferential tax treatment for R&D expenditure.

Industry and a lot of companies are excited about this development. On the other hand, there was one point of a projected decrease in federal and payer drug spending via Medicaid, this will also be because of increase in the number of uninsured individuals. While this health care spending reduction might have a larger impact on providers which are hospitals, it will only have a very small impact on the pharmaceutical industry. This is because Medicaid only accounts for

Indegene Limited
August 01, 2025

Page 3 of 16

a small portion of many drug makers revenue in the U.S. and even smaller share of their total revenue worldwide. Further, even prior to the changes introduced in the OBBA, which is the Big Beautiful Act, Medicaid has historically reimbursed companies for drugs at lower rates than those in other programs like Medicare or commercial insurance. So the impact is even lower. Even so this dynamic is likely to broadly influence patient access to medications a

nd in turn,

investment decisions related to research and development, M&A strategy, overall sales performance in the pharma and biotech sectors. One way or the other, this is yet another step in line with our strong belief and long-term outlook for the business that innovators will have to accelerate digital first transformation, adoption of AI, advanced analytics across R&D, supply chain and commercial operations to improve speed to market and reduce overhead as a response to a secular pressure on drug pricing, something which we have been saying again and again. Now if I summarize, we see no change in the industry outlook. Directionally, the pressure remains on drug pricing and hence, pharma operations to be more efficient and recent macro news and trends reinforce this pressure as well.

Now if I come to the industry, this year has been going, I would say, reasonably well for the industry so far. Industry is expected to have mixed growth, with most companies growing between low to mid-single digits. There are, of course, some of them, which will be doing extremely well. And they seem to be managing the macro pressure as well. More interestingly, we also see clients now coming back to the table more and more for the next level of evolution of the programs we've been working with them for. While decision-making is not on steroid, it's not very fast. This is a conservative industry, we have said it again. But we clearly see clients actively shaping the direction of their programs now.

Now moving on to our business performance for Q1 FY '26. Revenue came in at INR7,068 million, a growth of 1.8% in USD terms and 0.7% in INR terms. The growth in USD would have been 2.2% quarter-on-quarter but came lower due to a onetime credit given to a customer in settlement of unresolved project expenses. These expenses were in relation to an engagement, which was concluded mid of last fiscal and were already provided for as project expenses. And hence, no material impact on profitability in the current quarter. EBITDA came in at INR1,536

million, a growth of 0.7% quarter -on-quarter. We reported a Q1 PAT of INR1,164 million. At this point, I would like to introduce Tectonic to you. We've been talking to you about this for some time now. These are large transformative conversations we've been having with our large customers. This is now taking shape, and we are calling it Tectonic. This is Indegene's effort to move up the marketing value chain on commercial content creation side and capture more work upstream, which has traditionally been done by AORs or specialized healthcare agency, but this time, by use of our marketing and medical capabilities, global operations and technology, especially AI capabilities, we are making a decent impact in this area. Q1 has seen us make good progress in terms of conversations, which led to paid pilots and eventually full -scale engagements. We have generated more than USD 1 million of revenue from Tectonic in this quarter across 2 customers. Both of them are a top 20, and we'll continue to take this proposition to other customers as well .

Indegene Limited
August 01, 2025

Page 4 of 16

Now we can -- at this point of time, if you just go from a segment reporting perspective, Tectonic will not be reported separately, but will be part of ECS, Enterprise Commercial Solutions. We believe over time, the lines between upstream Tectonic work and the downstream production work that we are currently doing will become part of single larger engagements and that's a strategic direction we are working towards with our customers.

Before I go deeper, given that we spoke about Tectonic and the impact of -- and the reason why we're able to do this well, bringing all our capabilities together, let me also allude to some of the stuff which we are seeing across the board in our solutions as we have incorporated AI and Cortex, as we had a

nnounced earlier . What we have been able to offer are very unique value propositions, differentiated propositions across the value chain, right, in medical affairs, regulatory, safety, commercial, and we see clients being excited. We have multiple conversations going on. We're helping clients think about their few year road maps. However, as we have said earlier, this is a conservative industry. They are careful in terms of adopting some of these things. And hence, they continue to engage with us. We believe that over a medium term, AI will play a very significant role in differentiating us and enabling us to take a larger market share. All our initial engagements make us excited about it. And hence, we are doubling down on our efforts in investing, building the products, tools, which we have been doing and also incorporate them in our solutions.

Now this is a good time to talking about our segmental revenues. Our enterprise segments, ECS and EMS, Enterprise Commercial and Enterprise Medical, which contribute 86.6% of our revenue, grew by 3.5% quarter -on-quarter. We have also renamed Omnichannel Activation now to be called Brand Activation to reflect the distinct nature of the engagement at the customer level in brand commercial segment vis -a-vis the Enterprise Commercial segment. Brand activation had a degrowth of 21.6%. This is due to 2 reasons: First, the project went on hold and revenue got deferred due to a customers' regulatory hurdles impacting launch of its products; and second, the conclusion of a project with a customer. Both were sizable projects. The other segment has grown 16.9% quarter -on-quarter, but contributes only 3.5% of the overall revenue, and hence, will not have a material impact on a consolidation basis.

Coming to client -- our client view. Our largest customer has grown by 4.3% quarter -on-quarter. More importantly, our transformative deal construct with them, which we introduced earlier as Tectonic has started generating revenues and should scale up over the next few quarters. The top 5 accounts have grown by 0.6% quarter -on-quarter, reversing last quarter's trend and also signaling that past year challenges are behind us. Top 20 is business as usual and contributed 76.2% of revenues. Accounts beyond the top 20 continue to have higher growth, growing by 5% quarter -on-quarter in Q1. Existing accounts contributed 92% of this, while new accounts contributed 8% of this. On the existing accounts and engagement side, we do not see any significant challenges with our operations or revenue.

This was a good quarter in terms of new pipeline growth, which also alludes -- referring back to my earlier conversation of clients coming back to the table, thinking about their programs. We also maintained our momentum on deal wins with 2 large deal wins of 3 million plus ACV. One in ECS expected to go live in Q2 itself and the other in brand activation to go live in H2. We

Indegene Limited
August 01, 2025

Page 5 of 16

also had 4 deal wins of call it, in that 1 million to 3 million ACV, 2 in Enterprise Commercial, 1 each in Enterprise Medical Solutions and Brand Activation.

Cash generation continues well, and our cash and cash equivalents investments reached INR17,280 million, crossing \$200 million. We remain committed to utilizing this in the best interest of the shareholders. M&A remains a priority for us, and we have a pretty healthy M&A pipeline at this point in time at different stages, and it's progressing well.

Before I wrap up, I want to touch upon FY '26 initiatives and strategic priorities for Indegene. FY '25 was a somewhat challenging year for Indegene as we had some unexpected client issues, but those look like largely behind us now. Looking at FY '26, our deal pipeline has improved, and we are seeing the results in our improved deal booking data. The progress on Tectonic is another outcome of the same. Revenues from

2 customers, in advanced stages of conversations with 3 more.

I spoke about the traction we are seeing with customers as we incorporate more and more AI into our solutions and the value proposition we can offer because of that. And hence, we continue to double down on that. Operationally, we have done a strategic reorg of our sales function and completed a remapping exercise to drive higher effectiveness and traction and efficiency. We're adding senior leaders to strengthen and drive growth in our sales functions, consulting and capabilities like data analytics, content and medical affairs and regulatory affairs in EMS. These FY '26 initiatives might not have near-term impact, but act as a better off for our medium- to long-term growth.

With this, I'll pass on to Mr. Suhas to get into more details on the financials.

Suhas Prabhu: Thank you, Manish. Once again, a very good morning to everyone, and we appreciate your participation on this call today. Let me dive into some more details of the financial performance for the quarter. As Manish mentioned, revenues for the quarter came in at INR7,608 million, which is up a strong 12.5% year-on-year and 0.7% sequentially.

The growth in U.S. dollar terms is 1.8% quarter-on-quarter and 0.4% quarter-on-quarter in constant currency terms. As Manish highlighted, our revenues would have been higher with the USD growth at 2.2% quarter-on-quarter, but for a onetime credit to a customer in settlement of unresolved project expenses. This was for a project for an Indian affiliate of a global customer. And hence, the contribution of the India geographic segment in our revenues has dropped from 0.9% to 0.3% in the current quarter.

Coming to the rest of the geographical segments, 95% of our revenue continues to come from the U.S. and Europe regions. North America revenue share is north of 70% in Q1 and Europe revenue share is at 27.1% in Q1. And this is largely in line with our past trends and expectations for the future. The EBITDA margin for the quarter was stable at 20.2%. And we have spoken about Tectonic and our continued investments in Tectonic, including certain unpaid POCs at this point in time. And at normal rates of charge out, this would have added about 0.3% to our margin. The employee expenses during the quarter were lower by 0.7%, but combined with subcontracting costs, which are a part of our other expenses are higher by 1.2%, which is in line

Indegene Limited

August 01, 2025

Page 6 of 16

with the growth in our revenue. Other income was negative, primarily comprising of exchange loss due to foreign exchange fluctuation due to the weaker U.S. dollar against euro and even INR.

PBT came in at INR1,521 million, a strong growth of 27.1% year-on-year and 1.9% quarter-on-quarter. And finally, PAT came in at INR1,164 million, a growth of 32.7% year-on-year, while it's a degrowth of 1% quarter-on-quarter. The PAT margin for the quarter came in at 15.3%, a reduction of 30 basis points sequentially, with the effective tax rate for quarter 1 recorded at 23.5% versus in the past quarter, it was a lower 21.2%.

With that, let me take a pause and move on to the questions that either Manish or I can answer for you all.

Manish Gupta: Shubham, we're open for Q&A.

Moderator: Thank you very much. The first question comes from the line of Shiwani from Monarch Network. Please go ahead.

Shiwani: Yes. Congratulations on a good set of numbers. Sir, 2 questions. One is if you can touch upon Omnichannel Activation decline both year-on-year and quarter-on-quarter again. I also see the margin is impacted, and it has decreased significantly. So can you please elaborate on this point?

Manish Gupta: Sure. Shiwani, I'll pass it on to Suhas for details, but 2 things. One is you got to think omnichannel activation as a brand-by-brand business, and that's the reason we're also calling in brand activation, v

is-a-vis our other business enterprise solutions, whether it's medical or commercial, which is much more broad-based enterprise-wide engagements. And hence the nature of the business is such that some brand having an FDA issue, right, or engagement getting

over, there is a slight more variability on the business.

However, what we'll also encourage all of you to think about this Brand Activation, along with Enterprise Commercial Solutions. Because I spoke about Tectonic, and we are very excited about where this can go. Tectonic has a capability and offering where we're only able to build because of our presence in brand activation. We have these capabilities in brand activation. We are combining them with our marketing, medical, global operations, technology, AI skills, and are able to create a proposition over here.

So over time, we believe the brand activation capabilities will also help us create a fairly large significant business in Tectonic. So that's the broad strategic overview, I'll pass it on to Suhas to double click on any numbers.

Suhas Prabhu: Sure. Thanks, Manish. And going forward from what Manish explained on the nature of the business, more specifically, during the quarter, we had contracted with a customer for a brand launch program, which has got deferred due to certain regulatory hurdles, FDA requirements in the U.S., which has deferred the launch by -- we anticipate about 3 quarters.

Indegene Limited

August 01, 2025

Page 7 of 16

And hence, the customer has put the project on hold. This meant that revenues in the range of between \$0.7 million to \$0.8 million that we were anticipating from this engagement during the quarter has got deferred by about 3 quarters.

But as you would understand, we continue to incur the cost, and this would have adversely impacted pretty much to the same quantum, the segment margins and the consolidated margins as well. But having said that, the rest of the business, the enterprise segment and others have shown a very positive growth, specifically enterprise segments have grown by 3.5% quarter-on-quarter, and those contribute today to close to 87% of our business.

Shiwani: Sir, is this the reason why we also see the client count decreasing from 73 to 70?

Suhas Prabhu: There would be marginal variations again on a quarter-on-quarter basis, given that there would be project-based revenues from customers, some of which will cross that \$0.25 million level, which is when we consider this to be an active customer count in our list. Yes, there would be a couple from this segment as well. Having said that, holistically, I wouldn't read too much into that. We would look at this over longer tenure. And when you look at this over the past 3, 4, 5 years, also now, you would see that this has grown consistently year-on-year.

Manish Gupta: Yes. If I just double click on the client thing, while obviously, we look at the long-term stuff, but we also feel fairly good that if you will see the numbers towards the end of the year, we'll do better on the client thing. Quarter-on-quarter, client dips from 0.26 million to 0.24 million, the numbers change. It doesn't mean much. But directionally, I think we're moving in the right day over here, even with the client number side.

Shiwani: Sure. That is helpful. And the next question is on margin. So we see that margin remained flattish quarter-on-quarter, which is a good thing because quarter 4 is generally stronger. But what I wanted to understand is that with all the AI investment that we are doing, which will only improve our capability going forward. So how we see margin progression? And how much is the margin expansion scope, if you can throw some light on that?

Suhas Prabhu: Sure. Shiwani, as you rightly pointed out, margins have been stable and growing over the last 3 quarters. So we -- productivity initiatives, both automation, Gen AI-led contribute to

enhancement of margins. And over period is offset basically due to wage bill hikes as well as annual resets of rates. And I shouldn't say every year, but whenever there are renewals for some of the customers, which happen once every 3 to 5 years.

But having said that, today, we are able to offset the incremental investments as well as unpaid projects or POCs that we do for customers as we push aggressively to introduce these new concepts in our client environment. And therefore, in the near term, we believe that we would be able to sustain and be in the region of around 20% at an EBITDA level on a full year basis.

Shiwani: Sure. If I can just chip in one more, which is on M&A. So we have a very strong cash balances, which is INR17 billion. Can we expect more acquisition to happen in the European region because we have been talking about diversification. So is my thinking correct? Or we'll see more of a combination of U.S. and Europe acquisitions going forward?

Indegene Limited

August 01, 2025

Page 8 of 16

Manish Gupta: Shiwani, there are 2 things. Actually, there are a bunch of things over there. Let me unpeel those. That we are looking at acquisitions from a capability perspective, right, of what we can do. So we are looking at -- to that extent, we really are not necessarily focused on any geography.

Wherever we see the capability we do strong and the company offering something, we will be interested in that M&A. So we have a pipeline both in the U.S. and Europe. As far as the cash part goes, I don't think cash has been a deterrent for us to do M&A.

It has been us finding the right target at the right price. Now -- what we are seeing over here is interesting that companies for a very long period of time, well, had unrealistic expectations of value. They were still driven by the '21, '22 euphoria which had happened, right, in the private space.

Deals haven't happened. And we clearly see that expectations coming down, right, and becoming more realistic. And hence, we are more bullish on our ability to probably get M&A done. The engagements are becoming -- and the discussions are becoming much more realistic and getting to value zones, which we are comfortable with.

Moderator: The next question comes from the line of Abhishek Bhandari from Nomura.

Abhishek Bhandari: Manish, I had one very basic question. Of late, we've started shifting to Q -o-Q in terms of talking about numbers. Any reason why you started shifting towards Q -o-Q instead of Y -o-Y? Do you think now the business has become kind of a linear, and we should measure it on a sequential basis?

Manish Gupta: Abhishek, I'm going to give you a very honest answer on this. I still look at the business more yearly, right, nature of our business. But have been guided that everybody, all of you want to see quarter -on-quarter. That's why we have shifted to that. So there is no very well thought -out reason for that. Suhas?

Suhas Prabhu: Yes. But having said that, Abhishek, full year basis, 12.5% on revenue and 27% on PBT, 32% on PAT, I think we would keep referring to that because we believe whatever concerns that we had expressed during our current quarter performance in the last fiscal year versus this, we would want to also highlight that those challenges are behind us and maybe the quarterly commentary is more to emphasize on that.

Manish Gupta: Absolutely.

Abhishek Bhandari: Got it. Second question, Manish, is we have been reading a lot from outside about the uncertainty of what the life sciences or big pharma are going through. Some of them also have been going through C -level changes off late and some of them are of your top accounts as well. So in your discussions with the clients, do you see any hesitation for them to start on certain large projects? Or you think, no, the other thing is actually true that when things are uncertain, we need to reduce cost and

hence, we'll become more relevant. The place I'm coming from is most of the investors still think that our business is tilted towards the discretionary part of the spend of life sciences, it being on S&M. So if you could clarify, that will be helpful.

Indegene Limited

August 01, 2025

Page 9 of 16

Manish Gupta: Okay. So I think, first of all, let me start with the last part. The reality is that our business is nondiscretionary. In fact, it's completely on the other side. If you see any pharma company, broadly, their spends on S&M, regulatory, medical affairs remain in the same ballpark. It is -- and that's why we think about our business more from an annual perspective.

The enterprise business, especially 86.6%, -- that business, not discretionary. As far as the C -level changes are concerned and all the stuff, we see that as a very localized thing, Abhishek -- and a few of our clients, and we have called that out. One of our large clients where we had challenges last year, they went through a lot of those changes. But it's not a broad -based thing. It's 1 or 2 places.

And one of them was a large customer. We had seen that churn. But we also believe that they are also stabilizing now. Finally, and we are having multiple conversations even with those customers now, right, from a pipeline perspective, which was pretty much -- which was a challenge till last year, but we're seeing pipeline grow even in those customers, which went through the C level change. So 2 points, business is nondiscretionary. It is absolutely critical and nondiscretionary. And second thing is we don't see too much of those challenges right now.

Moderator: The next question comes from the line of Naman Bhansali from Nine Rivers Capital.

Naman Bhansali: First question is that some of the IT companies have been talking about pricing pressures from customers and higher competition, which is leading to some sort of margin erosion. So how are we seeing this? And what is your take on this?

Manish Gupta: Okay. Thank you, Naman, for the question. See, there are 2 things. One is that our industry and the kind of work we do, marketing, regulatory, it's not a back -end cost element. It's super critical for our customers. And hence, the propensity to shift or do anything based on a few dollars here or there is really not high. And that is the reason why even some of the AI -based solutions where they can get significant benefits are taking time to even get adopted, right, because of the risk perception. So we don't see that, right, on this part.

Of course, customers are actively looking out what else can they do, right, and from the future.

And especially given the possibility AI offer, but we are not seeing that in our part of the industry.

Naman Bhansali: Got it. Got it. And second question is, what is the split of the organic and inorganic growth? And how is MJL impacted your numbers?

Manish Gupta: MJL is really tiny thing. It's one of those capability acquisitions as a team we have done. And this is -- I've alluded to this many times in our one-on-ones and of course, this whole thing that we are preparing for Tectonic to be scaled up across geographies.

So these tuck-in acquisitions, we do on the agency side will be small acquisitions, which are instead of hiring people beforehand and given that this could scale at some point whenever it scales, right, we want to be prepared for that given the opportunity is present. So it's -- think about these as more as acquire-hires.

Indegene Limited

August 01, 2025

Page 10 of 16

Moderator: The next question comes from the line of Sankara Narayanan from iThought PMS.

Sankara Narayanan: Sir, my first question is regarding the patent cliff and how we are getting benefited from this?

So in your experience for the past 15 years, how have you benefited from this patent cliff, sir?

Manish Gupta: Sure. So I would

say that -- and again, there are 2 things. One is patent cliff is there. But on the other hand, new launches are also slated to be very high for the industry. So overall, the industry is going to be okay. Now as far as patent cliff is concerned, we have an offering of providing omnichannel for mature brand categories.

And that's where we see a very active pipeline at this point of time, where companies for mature brands, right, are saying is there a better way to promote -- and our omnichannel business, both on the combination of Enterprise and Brand Activation side kick in to be able to deliver those as a solution. And we see a bunch of that increasing in our pipeline.

Sankara Narayanan: Got it, sir. Sir, my second question is that how are we differentiated from other players like contract sales organizations or generic IT companies in terms of services and capability?

Manish Gupta: Generic IT companies are not even in conversations when -- wherever we are going. They're not part of the mix as well. At least our experience is, if they're getting an RFP, it is essentially to make up the numbers, right, because you have to send it to whatever, 5, 7 people. As far as CSOs, agencies, contract research organizations, those are the ones which are the more credible competition. And there, we are differentiated, let's -- you asked a specific question on CSOs, contract sales organizations. The thing what CSOs do is that they put feet on the ground.

Let's take an example of what you just asked on the mature product. Now if a product is going to go off patent in the next couple of years and pharma company says, you know what, I don't want to spend my field force and marketing organization to manage this. Why don't I just take all these products and give it to a contract sales organization, which will put feet on the ground. Now as Indegene, we are going to the same guys, but with a very different value proposition that we will be able to take your products, right, and reach out to physicians on your behalf, but rather than putting feet on the ground, we'll do it through digital AI. And we can bend your prescription curve. So the tech stack, we have, capabilities we have, we have data on 2 million physicians for their digital propensities. We have algorithms to create what we call shortest path to prescription. That's what we bring to bear, to deliver solutions in this area, right, which is a very unique proposition vis-a-vis the CSOs. Vis-a-vis, let's call it, and I'm just going to complete it, although you didn't ask for it, agencies, what we bring is very significant global operations, combination of medical marketing capabilities, various AI-based platforms to deliver stuff at faster turnaround times, lower cost. And quality and at scale, right, which agencies don't. Hopefully that answers your question?

Sankara Narayanan: Got it. Sir, my last question is, what is the organic revenue growth for the past 3 years, sir?

Suhas Prabhu: So Sankar, again, I would like to emphasize that pretty much a large portion of our growth would be organic. The inorganic acquisitions that we have done in the current year or even the last year

Indegene Limited

August 01, 2025

Page 11 of 16

have been nonmaterial, as Manish mentioned, capability and credibility acquisitions, which are tuck-in and get quickly integrated with the existing business.

And therefore, it's very difficult to carve out what would be organic and inorganic. We would like to emphasize that please look at these as businesses, which get integrated with the existing segments and allocate it holistically.

Moderator: The next question comes from the line of Naman Bhansali from Nine Rivers Capital.

Naman Bhansali: So sir, can you please provide more details on the Tectonic engagement? And what kind of

engagements are these? Maybe what is the outlook here? What scale are we envisaging? And what are the

different capabilities needed here? Maybe how much automation or AI driven is...

Manish Gupta: So if you think about it, I mean, a lot of the work which we have been doing in Enterprise Commercial Solutions is around downstream activities in content creation, for example, content adaptation, localization and execution, running campaigns, data analytics. These are the capabilities which we've been doing.

So essentially, the agencies do a lot of the work upstream, right. Developing the concepts, right, doing the market study, right, based on that, developing the concept, coming with the creative ideas, right, and then starting to develop de novo content.

So we can come in at a later stages, which is where capabilities were getting centralized. Now in -- through Tectonic, what we are doing is things like de novo content, right, taking those content from one channel to the other channel some of the creative -- some of the creative adaptation around that, right, at the higher stages, those are also getting bundled.

Now from an opportunity perspective, to give you a sense, I would say what we were accessing earlier through our Enterprise Commercial Solutions would have been 5% to 15%. And these are approximate numbers, mind you, over here of the marketing budgets.

With Tectonic, we believe that, that 5% to 15% increases to 35% to 50-ish depending on the customer and the situation from a budget perspective. So that's the level of unlock we are talking about. Suhas, do you want to double-click on any of this?

Suhas Prabhu: Yes. And Naman, you also spoke about technology. And that's a key part of what we bring to the table versus agencies, which would throw people-led expertise into the mix, whereas we are able to blend that, combined with the modern technologies and platforms, the new platforms, Gen AI-led platforms that we are contextualizing for this industry is the value that we bring to the table.

The generative element, wherein learning from the creative aspects that are done continually day in, day out, helps us make the content, the campaign, a lot more effective and the entire execution a lot more efficient in relation to what was possible in the past. And harnessing that power is what we bring to the table through Tectonic and that is why we are very excited that this possibility throws up for us in the future.

Indegene Limited

August 01, 2025

Page 12 of 16

And from a revenue perspective, it's already started generating revenue. Manish mentioned earlier in the call, already \$1 million of revenue during the quarter. While we continue to do unpaid POCs to prove the strength and power of this to our customers, and we believe we are well positioned to keep gaining on this front as we make more progress.

Moderator: The next question comes from the line of Mohammed Patel from Edelweiss Public A Ltd.

Mohammed Patel: Sir, I have 3 questions. So in the near term, how should we think of head count additions and wage hikes?

Suhas Prabhu: Yes. So in the near term, wage hikes for us are effective July 1 in the current quarter. If you would have also seen our past few years of quarterly performance, the wage hikes are impacted.

The larger cycle is July every year. There's a midyear cycle in January, but that has a very small impact. The near-term impact on wage hikes will be seen on the margins in the next quarter.

But having said that, you would have also seen that our head count has remained fairly stable and also marginally degrowing over the past few quarters, while the revenue continued to be stable and growing. But having said that, we would say that in the longer run, the revenue growth and the head count growth would be in the same direction, though the pace of addition of head count versus the pace of growth in revenue need not be at the same rate. And I would say -- so while there is a correlation between the head count growth and revenue

wouldn't necessarily

mean that both are growing at the same pace.

Manish Gupta: Yes. And our revenue per employee is showing that trend. If I look at the last quarter, it was 70s -- 67 point or so (1000 USD) per employee.

Mohammed Patel: Okay. And rate hikes, should we expect high single-digit percentage on an annualized basis?

Suhas Prabhu: So it varies between geographies since we also have more than 16% of our staff outside India.

Country by country, it would vary. But in rupee terms, on a full year basis, wage hikes tend to be in the 6% to 8% range from a full year perspective. And what we have done successfully, as you would see in the quarterly margin rate, is while Q2 tends to be the -- tends to show a dip in the EBITDA margin. It grows through the next 3 quarters. And on a full year basis, we've been fairly stable to growing on an EBITDA margin and, therefore, PAT also.

Mohammed Patel: Okay. And I wanted to understand the operating leverage in the business. So if the revenues grow 15%, should we expect other expenses to grow 50 basis -- 50 to 100 basis points lower?

Suhas Prabhu: Yes, from an operating leverage perspective, but at the same time, what we would guide in the near term is that we would continue to reinvest the incremental dollars that we earn for the future, Tectonic, Gen AI as well as expansion of capabilities organic ally, which will play into the growth over the medium term to even longer term, so 3 years, 5 years down the line. And therefore, we are comfortable to operate at a consolidated basis at the levels that we are at today, Mohammed.

Indegene Limited
August 01, 2025

Page 13 of 16

Manish Gupta: Yes, I think that's an important point because now we are seeing customers coming back, as I said, looking at where they want to go. And in that context, our priority is going to be growth rather than expansion of margins.

Mohammed Patel: Okay, sir. Understood. The last question is, I just wanted to confirm that you are seeing all top 20 client accounts are expected to do well going forward?

Manish Gupta: I would never say all 20, but overall, as a segment, it will grow. Difficult to call out all -- to give a commitment on all each 1 of the 20.

Mohammed Patel: But it shouldn't have an impact like it had last year.

Manish Gupta: Yes, absolutely, absolutely.

Moderator: The next question comes from the line of Rohan Vora from Envision Capital.

Rohan Vora: So the first question was on the -- our journey, and we've been seeing that we want the clients in the 10 million to 25 million buckets to move up to 25 -plus million buckets and then on to 50 million plus. So where are we in that journey? And just a broad idea on that. I know you've been putting efforts in that direction. So that was the first question.

Manish Gupta: Yes. So I think we're progressing well on that, Rohan. I can't call out exactly when you'll start seeing those numbers. But we feel good about it, let's say, call it, a few quarters down the line, our client pyramid is going to start looking stronger. 10 to 25 moving to 25 -plus, fingers crossed. We're also hoping to break the 50 mark, right, having a customer move over there. The number of million -dollar customers should increase. And of course, the number of active customers also should go up. So this whole chain, we believe, good right now from what we see is going to be stronger in a few quarters.

Rohan Vora: Absolutely. So no, I get your point. I'm just say, ballpark, we'll start seeing some of this in a few quarters. So that was what I was trying to get. And second was on the Cortex part, so AI side of it. So how is the traction there? And what can one expect from that probably a year from -- a year from now?

Manish Gupta: See, there are 2 things. One is Cortex as a platform, right, is enabling us to very quickly incorporate AI, right, or Gen AI in a lot of our solutions. And I allu

ded to that, that medical

writing, right, MLR across the board, right, commercial content, right, some of our clinical processes, we are incorporating AI.

And taking the Cortex -based approach, which gives clients a lot of confidence that the whole Gen AI -based approach we are taking is for them derisk. Because our clients are very concerned about many things like security, confidentiality, a bunch of other things, scalability of platforms, how they plug in with other systems they might have invested in.

So on one hand, we are seeing a lot of comfort over there. And hence, these discussions are progressing well. On the other hand, we also see -- while it's still early days. We're also seeing Cortex being customers themselves saying that they would want to use pure -- for their internal

Indegene Limited
August 01, 2025

Page 14 of 16

purposes, Cortex -based platforms and services, right, which are not necessarily incorporated in our operations today, but as a stand -alone offering by itself. So all in all...

Rohan Vora: Absolutely. And will you be able to sometimes in future give a measurable number, the contribution from Cortex or some sort of number in future?

Manish Gupta: We're not sure about that because that's honestly not a very -- that's not a priority for us. The priority is, in fact, transition our offerings to be Gen AI enabled. And we will encourage you. This is a quarter where we also have our Indegene Digital Summit. And I'm hoping that we'll also be able to do a stream of this.

It used to be one of those marquee events in the industry. This year, we're going in person for the event in Philadelphia. I think it's September 24. So we'll send a link to all of you, have a look at what our customers are saying, what industry people are saying.

You'll have a lot of marquee people coming in the conference. Customers will be talking and our CTO also will be presenting a bunch of things on Cortex and where we think Gen AI is

going to be going. So that's on September 23...

Moderator: The next question comes from the line of Omkar Sawant from Marcellus Investment Managers.

Omkar Sawant: Yes. Actually, I had 2 questions, both on Tectonic. So first, Tectonic, how does this complement our CultHealth services because even that was our effort to move up the marketing value chain?

And the second question is that as we are moving up the marketing value chain and competing with these specialized health care marketing agencies, the reason that these marketing agency exists is that they do a lot of customized work.

They have local understanding and local nuance. And for our context, which is global operations, centralized operations, which we cater to, how does that fit in when we compete with these marketing agencies?

Manish Gupta: So that's a great question, Omkar. Now if you think about it -- and as you rightly said, the whole omnichannel brand activation, as we call it now, was meant to go upstream, and we did acquire that capability, right, establish our credentials in this space. And I think we have done well on that. However, that business is a brand-by-brand type of a business. We believe, and our view was -- and that's the reason we have taken the thing is that technology enabled, right, and global operations enabled creation of all this material, right, is the way to go.

Now what we have been able to do using Cult, right, and the capabilities we have had, take some of these capabilities and think about reimagine them on an enterprise basis, right, that if you strip off some of the work which was being done by agencies and consolidate into global operations, how will that look like.

And incorporate -- and pretty much think about it, melded that with Enterprise Commercial Solutions as a capability. It's taken time for us to do that. We acquired Cult in 2022. We made - - I think it took us 1.5, 2 years to get all this sorted out. And

it started resounding with our clients, where they see clear benefits of consistency, cost benefits.

Indegene Limited

August 01, 2025

Page 15 of 16

Obviously, if they have to drive AI across their marketing operations, the only way they can do it is they centralize things, right? If you're working with 20 agencies as a company, there's no way you'll be able to get the benefits of AI. Whereas the central operations enables that. So that is the path we are taking. Now we're not saying agencies won't be there. Agencies will continue to play a role.

They will still be the ideation guys. There will still be the guys who are coming with the creative concepts at least right now. But some of the execution work which they are doing, we have taken out a lot of that earlier, but there are other things which we believe could have been centralized, which is what we've been able to do. Now we got the credibility because of Cult, right, to even have that conversation, and we've used that effectively.

I hope that answers your question.

Omkar Sawant: Yes, yes. It does. And just a follow-up to this. In the Investor Day, you mentioned that for any technology that you launch, you track 3 critical KPIs, right, reduction in time to market, resource optimization and the number of use cases that you address. Can you help me understand how does Tectonic cater to all 3 KPIs? Some color on that?

Manish Gupta: So Tectonic is not -- you have to delink our -- what you heard on the Investor Day on the CTO office, right, all the work which we are doing on AI from Tectonic. Tectonic is very specific to commercial operations. And so think about it as a cross between Enterprise Commercial Solutions and Brand Activation from a capability perspective.

When we are talking about Cortex and the use cases, those are much broad-based. There are multiple use cases of Cortex in Enterprise Commercial Solutions. There are multiple use cases in brand activation as well as clinical and enterprise medical solutions.

Within Enterprise Medical Solutions also, right, the point solutions of which where we are using Cortex and our Gen AI capabilities are a lot. As I said, MLR, various medical writing documents, right, clinical study reports, PSURs, I can go on and on, on that piece. Safety. So we're using Gen AI in a much more broader way. Tectonic is one instance of that. A large one though.

Moderator: The last question of the day comes from the line of Vinit Manek from Karma Capital Advisors.

Vinit Manek: It's good to see the growth coming back, especially from the last difficult year that we had. Just 2 questions from my side. One is pertaining to that. We were at about a high single-digit kind of a USD growth this quarter from a top line perspective. So should we assume that the worst is behind us, and we are seeing that acceleration in the launches and spends from the top clients coming back? Could we accelerate this to an early double-digit kind of growth or mid-teens kind of growth by the end of this year?

And my second question comes to the margins. So as we have upped the efforts on Tectonic and other value-added services. So should we assume that with the portion of this going up in the medium term, it will be more margin accretive from the EBITDA perspective? Or how should

we look at that effort?
Indegene Limited
August 01, 2025

Page 16 of 16

Manish Gupta: Sure, I'll pass it on to Suhas to deep dive, but we don't like giving exact numbers and guidance, but we feel comfortable and good of where we are right now, right, in terms of our engagement pipeline. And we believe we are on the right trajectory as a company from a growth perspective.

So that's one.

Our priority from a reinvestment and investment perspective is also going to be growth. As I said, after the frantic activity during COVID time, right, until 2023, we saw the industry consolidating, custo

mers going slow because of what happened during COVID and also some of the pressures. We see that easing right now. Customers coming back in terms of where they want to go, all this stuff. So in that context, our investment in growth becomes paramount. So that's going to be our priority as a company. But the specifics, I'll pass it on to Suhas to comment on.

Suhas Prabhu: Thanks, Manish. Vinit, again, to reemphasize why we don't give out guidance for the year. The 3 factors that you yourself alluded, the existing customers, our top 5, top 20 customers, stable and growing. Deal wins that we have spoken about, not just this quarter, but I think last few earnings calls, converting to revenue, which you are also seeing in the quarterly numbers now. And the client conversations changing to overall pipeline for us are positive indicators.

And on the margin front, while we scale, there is opportunity to scale margin disproportionately operating leverage kicking in. But having said that, in the near term, we would look at investment doubling down on some of the things, while balancing out the margins. And therefore, I would say margins in the near term in the vicinity of 20% at an EBITDA level. But in the medium term, expansion is certainly a possibility.

Moderator: Ladies and gentlemen, in the interest of time, that was the last question. I would now like to hand the conference over to management for closing comments. Thank you, and over to you, sir.

Suhas Prabhu: Thank you, everybody, for your participation and continued interest in Indegene. Value these interactions and conversations with the entire investor community and look forward to continuing this level of engagement. Thanks once again, and have a good day.

Manish Gupta: Thank you.

Moderator: Thank you. On behalf of Indegene Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Oct 2025

(no extractable text — likely a scanned image PDF)

Call: Nov 2025

Indegene Limited
Third Floor, Aspen G -4 Block, Manyata Embassy
Business Park (SEZ), Outer Ring Road, Nagawara, Bengaluru -
560 045, Karnataka, India
Phone: +91 80 4674 4567, +91 80 4644 7777
www.indegene.com
CIN: L73100KA1998PLC102040

INDGN/SE/ 2025-26/79

November 3, 2025

BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400001, India.
Scrip Code: 544172 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051, India.
Trading symbol: INDGN

Dear Sir / Madam,

Sub: Transcript of the conference call on financial results for the quarter ended September 30, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call for the quarter ended September 30, 2025, held on 31st October 2025.

The above information will be made available on the website of the Company: <https://www.indegene.com/>

This is for your information and records.

Yours Sincerely,
For Indegene Limited

Srishti Ramesh Kaushik
Company Secretary and Compliance Officer

Page 1 of 16

"Indegene Limited
Q2 FY '26 Earnings Conference Call "
October 31, 2025

MANAGEMENT : MR. MANISH GUPTA – CHAIRMAN AND CHIEF EXECUTIVE
OFFICER – INDEGENE LIMITED
MR. SUHAS PRABHU – CHIEF FINANCIAL OFFICER – INDEGENE
LIMITED
MR. ABHISHEK AGARWAL – HEAD, INVESTOR RELATIONS –
INDEGENE LIMITED

Indegene Limited
October 31, 2025

Moderator: Ladies and gentlemen, good day, and welcome to Indegene Limited Q2 F Y '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing start then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Agarwal from Indegene. Thank you, and over to you, Mr. Agarwal.

Abhishek Agarwal: Thank you, moderator. A very good morning to all of you and thank you for joining us today for Indegene's earnings conference call for the second quarter and half year ended financial year 2026. Today, we have with us Mr. Manish Gupta, Indegene's Chairman and CEO; and Mr. Suhas Prabhu, CFO, to share the highlights of the business and financials of the quarter.

I hope you have gone through our results release and the quarterly investor presentation, which have been uploaded on our website as well as the stock exchange website. The transcript of this call will be available in a week's time on the company's website.

Please note that today's discussion will be forward-looking in nature and must be viewed in relation to risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team. I now hand over the call to Manish to make his opening remarks.

Manish Gupta: Thank you, Abhishek. Good morning, everyone, and thank you for joining our Q2 earnings call. The past few months have been very action-packed both externally, the external environment and internally at Indegene as well. And I hope to try and cover as many of these in much detail as is practical on this call today.

Let's start with the external factors, especially the evolving U.S. policy matters that impact the life science industry and have been in the news quite a lot. The big headline for the industry has been the most favored nation or MFN pricing. On September 30th, President Trump and Pfizer announced the first deal on this matter. The agreement provides every state Medicaid program in the country access to MFN drug prices on Pfizer products and requires Pfizer to offer medicines at a deep discount of the list price when selling directly to American patients. There is also a plan to offer many drugs at significant discounts through a new federally operated DTC platform called TrumpRx.gov. Finally, this agreement also grants Pfizer a grace period of 3 years from any Section 232 pharma tariffs provided the company continues to invest in U.S. manufacturing.

While this deal does have an adverse impact on drug pricing, the terms and scope of the agreement is seen as positive for Pfizer and for the pharma industry in general. Most companies have limited exposure to Medicaid and prices are already significantly lower in this channel compared to the rest of the market.

The federally operated DTC platform, TrumpRx.gov will also have minimal impact as most patients do not pay out of pocket. Finally, it's likely companies will sidestep MFN restrictions

Indegene Limited
October 31, 2025

by delaying launches in other geographies, while keeping prices high in the U.S. Also, it's likely that the prices for drugs in non-U.S. markets are increased to minimize the impact of MFN-related price reductions in the U.S.

Overall, this has been a big relief for the industry because it takes away the regulatory overhang and provides a template for moving forward in a way that is not significantly disruptive for the industry. As per analysts, top 30 life science companies registered approximately USD 440 billion in value during the last month. So you can see

how this development is considered as not disruptive to the industry.

Companies have started announcing drug launches at significant discounts, which are applicable only for the limited DTC market and also overseas new drug launches are at -- some of them have been at higher prices, in line with the U.S. prices.

Now the other big announcement in the recent past was the application of tariffs on pharmaceutical imports into the U.S., which were initially kept outside the purview of tariffs. Beginning October 1, pharmaceutical manufacturers would face 100% tariffs on all branded or patented drugs imported to the U.S. However, there were notable exemptions. Manufacturers could avoid these tariffs by building manufacturing facilities in the U.S., defining building as either breaking ground or under construction.

Apart from this, the existing trade agreements would be also honored, including recent EU and Japanese compacts that limit pharmaceutical tariffs to 15%. Most companies have announced significant investments towards R&D and manufacturing in the U.S., thus blunting the impact

of any tariff threat. It also seems that administration may look at MFN or tariffs as a combined tool rather than separate tools, so companies could use a mix of these 2 approaches as part of their negotiations.

Taking a step back, one can see a sort of trend here. The U.S. administration seems to be creating regulations, which were initially perceived as drastic and disruptive. However, the outcomes seem to indicate limited pressure in the immediate term, while also providing a possibility to a way out with any significant negative impact on the industry even in the longer term. With the MFN and tariff issue now having a potential resolution, there do not seem to be any other imminent clouds on the horizon for the industry as of now.

Now the other announcement of some relevance or some way connected to Indegene was the move against DTC marketing. To be clear, it's not a ban against DTC marketing, but action and tighter enforcement against disruptive or misleading DTC marketing. Essentially, the U.S. administration has tightened the regulations around DTC marketing, which may limit their activities on traditional DTC channels such as TV, print and related media advertising. and drive more engagements through newer channels such as digital, social media, et cetera.

This development has no impact on Indegene, as we do not have any significant engagements using traditional media for the DTC segment. However, we likely benefit from the shift to digital channels or spend diverted to segments such as HCP or market access, et cetera.

Indegene Limited
October 31, 2025

Page 4 of 16

Now with some of these having spoken about, let's come to the other action the U.S. administration announced. This was not specific to the life science or pharma industry. This was the fees for new H1B visa applications and the evolving landscape there with exemptions and clarifications on limiting the applicability of the fees. This is a broader regulation that impacts all businesses, but more specifically outsourcing services businesses, which depute large number of employees from India to the U.S. every year. This has practically no impact on Indegene. Currently, Indegene employs around 550 people in the U.S., out of which 45 people, approximately 8% are on H1B visas. Every year, we depute only 5 to 8 employees on H1B to the U.S., and this content can be easily managed through multiple routes, nearshoring, passing on the additional cost to our customers, especially in large engagements, where they won't be material.

The reason for the low quantum of U.S. personnel on H1B is because Indegene is not a staffing business and a labour cost arbitrage is not the core of the business model at Indegene. As part of our business model, we hire talent who have deep local market expertise, be it reg

ulatory

expertise in each country, deep understanding of health care practices, channel preferences, pharma marketing or medical practices, which vary country by country. And this talent is, of course, available only locally.

Our customer engagements need us to operate in multiple countries across the globe for large regions with a complex multi-location hybrid delivery system, which combines multi-country local operations working seamlessly with nearshoring and offshoring capabilities with multi-skilled personnel having deep domain expertise working together in a global operating model. This is also very clearly visible in the higher revenue per employee metric at Indegene, which clearly is market leading.

Before we move ahead, to summarize my commentary on the U.S. policy changes and the administration action, the industry continues to face pressure on drug pricing and margins, whether it was through IRA in the past or MFN negotiations or tariff announcements now. And this is something which we've been alluding to, speaking about from our, I would say, very early earnings call. However, the likely adverse impact to the industry is limited. And the positive news for the industry is that actions taken in this regard clear any uncertainty on policy overhang and should aid decision-making moving forward. Calendar year 2025, Q3 performance for the industry is expected to be in line with the industry forecast and market expectations, and there do not seem to be any major industry headwinds that we see as of now.

Now with this, let's come closer to home. We continue to see clients now actively building on some of the earlier digital and centralization theme. This, we believe, is driven by some of the top-down pressures the industry faces and the fact that we see AI as a way to get more efficient and effective. We believe this will be the next level of driver for digital adoption, centralization and embedding of AI in key medical and sales marketing processes.

Our offering Tectonic has been based on this theme, and we continue to make progress on that. While it's still early, we are highly encouraged to have clocked approximately \$2 million in H1

Indegene Limited
October 31, 2025

revenue in Tectonic from 4 customers. This is up from 2 customers we had in Q1. We have initiated multiple conversations in this area and the pipeline is shaping up well.

Given some of the things I saw and I spoke about and the commentary we have been sharing with you for a long time, we continue to strengthen our GenAI -based capabilities centered around our proprietary Cortex platform. We are increasingly seeing evidence that supports our hypothesis that real value addition from GenAI will come from contextualizing the technology for the domain.

With Cortex, our focus, therefore, has been on qualifying 26 years of our life science regulatory and business process -specific knowledge that we then use to train agents across the value chain. We continue to build business applications on top of this knowledge engineering -led agentic layer in Cortex.

We are building applications across key areas like digital content with use cases for our agency business, Tectonic as well as commercial content creation and adaptation. All this has been on the commercial side of the business, sales and marketing side of the business, if you would call it out.

On the medical side, we have built applications for medical legal review, regulatory writing and submissions and a few others. We are taking a platform approach versus a point solution approach to building these GenAI applications because otherwise, we feel that the industry is very soon going to run into the problem of managing hundreds of business process agents and driving governance for them.

Further, our end -to-end content engine called Content Super App is being built as a single platform for brand managers as

well as global commercial operations. Multiple agents that drive different aspects of development, such as ideation, concepting, localization, personalization and regulatory approval of content, however, all via a single platform.

Similarly, with our medical writing platform, we are automating authoring of all regulatory reports right from protocol authoring to clinical study report to ongoing filings post approval on a single platform. We continue to add regional use cases on this platform based on the client's need.

As we see our clients' needs getting crystallized and pipeline generation improving, increased activity levels in customer organizations due to growth in revenue in new launches or cost efficiency and modernization / GenAI initiatives with some customers resulting in new opportunities, we have decided to strengthen our go -to-market engine in multiple ways

- We have increased the strength of our business development teams on both fronts, increased customer coverage and deeper penetration with existing customers.
- We have added capacity and capabilities in consulting, data and technology, including GenAI. This has been done in the U.S. and Europe. And we'll continue to strengthen this as we make progress with customers on new engagements for enhancing the scope of current engagements.

Indegene Limited

October 31, 2025

- We have and continue to deepen our partnerships with some of the hyperscalers and other technology product companies that have and are getting traction in our industry.
- We have also acquired 2 businesses, BioPharm, which we had spoken about earlier in the call, a U.S. -based omnichannel marketing company focused on targeted HCP or health care professional engagement. And a very recent one, WARN, a U.K. -based boutique consulting firm, having people with significant experience in change management, transformation consulting and digital and technology areas for pharma. Both these acquisitions were done in October. We'll have more commentary on these acquisitions a bit later.

Now we believe these investments will help us to capitalize on the market opportunity that we see in front of us. These ahead of the curve investments should accelerate our growth progressively over 6 to 8 quarters, but with EBITDA margins compression in the near term by about 1.5%.

I'm getting into our results now. We had a good quarter on both execution front and new business generation front. Q2 revenue came in at INR8,042 million, growing 17.1% year -on-year and 5.7% quarter -on-quarter.

Among the significant wins during the quarter, there were 2 large deals of 3 million -plus ACV, both in the ECS segment, first one with a big pharma to manage their global omnichannel for health care professional campaign operations for a few years. And the second engagement with a top 5 customer of Indegene with increased scope in existing global commercial operations.

Both these are start expected to start in Q3 and ramp up over the next 3, 4 quarters. Additionally, we had 4 deal wins in the 1 million to 3 million ACV range. One in Enterprise Commercial segment with an upcoming biotech company for various transformations and business tech implementation projects. Revenues for this start again in Q3. The other 3 deals were in the Enterprise Medical segment. First one with a medical device company for pharmacovigilance with a 3-year tenure to start in Q4. The next in the top 10 pharma company with scope expansion in existing medical operations. And the last with a mid-sized small pharma for supporting medical writing and submissions for biological license application for a slightly shorter duration, both of which will start in Q3. Finally, we also continue to have a healthy and growing pipeline with a higher proportion of potentially large deals greater than 3 million ACV. Just a few weeks back, we also hosted Indegene Digital Summit. IDS 20

25, which is our flagship event. This was done in September 2025 in Philadelphia in the U.S. We returned to an in-person format after 5 years. Since the start of COVID, we had gone digital. This in-person event was a huge success. It was attended by senior leaders from the industry, from our customers as well as regulators.

While AI took center stage in all conversations, almost every one of them also stressed how important context is to make the most of AI, a revalidation of what Indegene has been saying. We gained valuable insights on why organizations across industries are struggling to derive meaningful ROI, turning pilots into full-scale production and challenge in reengineering

Indegene Limited
October 31, 2025

Page 7 of 16

processes and upskilling talent for an AI-first world. This, we believe, is an opportunity for Indegene, and we continue to focus on this.

Finally, some details on the BioPharm acquisition that we announced early this month. The integration is underway at full speed and support functions like finance, HR, IT, legal, et cetera, will be transitioned in 2 quarters, while business operations and go-to-market will likely take about 6 quarters to complete.

We are excited about the potential of this business in its current form as aligned to brand activation with the brand-by-brand business, where we shall invest to increase the business development activity in the U.S. as well as the integrated omnichannel campaign offering, which is a part of the ECS segment to scale up globally with some of the engagements cutting across brands.

This point bears some further context. Many of you are aware, Tectonic is our effort to go upstream towards the creative processes within the marketing activities. as an enterprise commercial engagement cutting across multiple or all brands in a customer, either globally or for a large region than a brand-by-brand engagement at a country level. This offering is a combination of Indegene's content campaign and data capabilities, along with the creative capabilities acquired through Cult acquisition a couple of years back and monetize through the enterprise-wide engagements rather than the brand-by-brand engagements, which also cuts across multiple countries or regions.

We believe that BioPharm will provide a similar opportunity for us to expand our capabilities on the downstream omnichannel campaign execution capabilities and take these to our customers in an enterprise format rather than just a brand-by-brand format. That's a broad update. With this now, I'll pass it on to Suhas for further details on the financial performance as well as financial perspective of the acquisitions.

Suhas Prabhu: Thank you, Manish. Once again, a very good morning to all, and we appreciate your participation on this call today.

Let me begin by getting into the details of the financial performance for the quarter. Revenues for the quarter came in at INR8,042 million, up 17.1% year-on-year and 5.7% sequentially. The growth in U.S. dollar terms is 12.4% year-on-year and 3.6% sequentially. The EBITDA margin adjusted for onetime nonrecurring M&A costs for the quarter came in at 18.2%, down by 2% sequentially, almost entirely due to the annual wage hike, which was effective July of 2025. The EBITDA margin net of the M&A costs is 17.6%. The favorable impact of productivity and efficiency initiatives was offset by an increase in our marketing expense due to the IDS 2025 Event, as also higher technology costs due to infrastructure and subscription for cloud and GenAI requirements.

With the rupee depreciating against the dollar, the impact of exchange gain was favorable, but this was also offset by the mark-to-market charge on the forwards that were outstanding at the end of the quarter.

Indegene Limited
October 31, 2025

Finally, the interest income was down by about 22.5%,

primarily due to the decrease in yields

on investments in both the U.S. and India with the progressively reducing Fed and repo rates.

Thus PBT came in at INR1,331 million, a growth of 7.3% year -on-year and PAT came in at INR1,021 million, a growth of 11.4% year -on-year.

The PAT margin for the quarter is 12.7%, a reduction of 2.6% sequentially in line with the reduction in EBITDA. And thus the ETR, the effective tax rate for Q2 was relatively stable at 23.3% versus 23.5% for the previous quarter.

Moving to the segmental results, our Enterprise segment, Enterprise Commercial and Enterprise Medical Solutions, which contribute to 88.5% of our revenue, grew by a healthy 8.1% quarter -on-quarter, partially offset by the degrowth in Brand Activation segment, which degrew by 15.8%.

The geographical mix continues to be steady with more than 96% of revenue coming from the U.S. and Europe region. North America revenue share is at 69.6% in Q2 versus 70.2% in Q1 and Europe revenue share is at 27% in Q2 versus 27.1% in Q1.

Coming to the customers, our top 5 customers have grown 4.5% quarter -on-quarter despite a degrowth in our largest customer, which was anticipated with the change in the onsite offshore mix during the past renewal, which we had highlighted during one of our past earnings calls .

The top 20 customer contribution remained steady at 75.2%, while the accounts beyond the top 20 grew at a faster pace, growing by 10.3% quarter -on-quarter, combined with our active customer base increasing to 76 active customers from 70 in the last quarter .

Coming to the M&A side of things, the acquisition of Biopharm was completed effective October 1st, 2025. The BioPharm financials will form part of our consolidated financials from October 1st, 2025 onwards, which is the next quarter onwards. Given the size of the acquisition, we'll be reporting both organic and inorganic growth and corresponding revenue in the coming couple of quarters. Please refer to the Investor Relations website for further details of the transaction, including the deal value and the deal structure.

The payment at closing to complete the transaction was approximately USD 65 million and was placed in an escrow account as at 30th September 2025, while the transfer to the sellers was done on October 1st. And hence, this reflects as restricted cash under other current assets as at September 30th, 2025. Including the restricted cash, our cash balances, cash equivalents and investments were a healthy USD 210 million versus USD 200 million as at June 30th, 2025. The DSOs, net of unearned and unbilled revenue remained a steady 71 days.

Further, on October 16, 2025, we also completed the acquisition of WARN & CO, a boutique U.K. -based consulting business for upfront consideration of GBP 2 million plus future performance -linked payout. This is not likely to have any material impact on the financial results of the company on a consolidated basis. However, Manish has already mentioned earlier how this fits into our investments focused on future growth, which includes the consulting capabilities that we have acquired through the -- through WAR N & CO.

Indegene Limited

October 31, 2025

With that, let me take a pause and move on to the questions that either Manish or I can address for you today. Back to you Moderator .

Moderator: Thank you. The first question comes from the line of Ahmed Madha with Unifi Capital. Please go ahead.

Ahmed Madha: Trying to understand the P&L better, both for the Q2 and the comment you mentioned about 1.5% margin reduction, right? So in Q2, even adjusted for M&A expenses, the opex , other expenses rate is quite higher compared to historical rate and there has been an increase. So you can give some granular sense what explains the increase in the expenses. That's first. And second, in terms of employee cost front, you can give some sense

of the hikes, which we

have taken post June, which is reflecting in Q2. And coming to the comment you mentioned about 1.5% margin reduction, can you give some sense next 2 or 3 years, how do you see the margins range changing and what all initiatives we'll be taking, which is reflecting in your margin guidance?

Manish Gupta: I'll let Suhas handle it, but let me just start with the last one. The margin reduction in the very near term, let's call it, next quarter, is primarily because of these investments we have made, and we believe in the next 6 to 8 quarters, we should get it back to the levels, which we've been operating at. With that, Suhas, I'll pass it on to you to break it down to some more details.

Suhas Prabhu: Sure, Manish. Thanks, Ahmed, for your question. So the other expenses that have increased have

largely 3 components of increase, one which I already mentioned earlier, which was approximately USD 0.5 million of M&A expenses, which are largely diligence fees, legal fees and the like, which were incurred in relation to work that was completed by 30th September for the 2 acquisitions that we concluded eventually in October.

The other major component was the IDS or the marketing event that we had in Philadelphia in September. In physical form and approximately \$0.5 million of expense in the event combined with a little around, say, \$0.1 million of travel cost was the other component.

And finally, about \$0.25 million of technology costs, which increased quarter-on-quarter given higher investments, especially in the GenAI subscriptions and the related cloud infrastructure, all of which that I mentioned is part of the other expenses.

Now coming to your next question, which is on the increment. At Indegene, our annual increment is effective July every year and this year also, so effective 1st of July 2025. The increments in the past have resulted in a 2.1%, 2.2% per dilution in margin rate from -- on a sequential basis. And even in the current year, this is in the similar range, around 2.1% is the impact of the wage bill increase.

And what we typically see is that progressively, the margins tend to increase here on. But every year, again, in that July period, given that it's an annual increment cycle would see a decline in margins. But this is nothing out of ordinary for Indegene if you look back into our past. So I hope that clarifies the questions that you had, Mr. Ahmed.

Indegene Limited
October 31, 2025

Page 10 of 16

Ahmed Madha: Yes. I get the sense. Second question was to understand the business mix in terms of top clients, right? I mean, the commentary in last quarter or so was that the pain in the largest client is behind us, but it seems there has been some degrowth again in Q 2. So you can give some sense how is the conversation with your top 1 or 2 clients? And how do you see those clients coming back with either new orders or the contract renewals?

Suhas Prabhu: Yes. So Ahmed, our top 5 customers, what we have seen in the past, our largest customer has been steady to growing in the last 6 quarters. A couple of earnings calls ago, we had mentioned that our largest customer, one of the contracts that was renewed had a change in the mix from onsite to offshore for certain roles. And therefore, we would anticipate a reduction in the revenue, while it would actually be in the longer run positive from a margin perspective. And therefore, that's the only major impact.

And this is not related to any challenges that we had seen with a couple of other customers. And as you observe in the current quarter, the top 5 has actually grown by 4.6% sequentially, which is consistent with what we had mentioned that we see that the pain that we had with a couple of customers is largely behind us and things are back on track and growing.

Manish Gupta: I also want to emphasize that as to us in large 5 -- top 5 customers, we don't see any broad

headwinds. The largest customer, this engagement was called out in our, I think, end of Q4, if I'm not wrong. However, in our largest customer, we see -- we have a pretty strong pipeline, and we are very bullish about growth in the, I would say, near to midterm itself.

Ahmed Madha: Last question from my side. In terms of headcount addition, how do you see the trend in the near to medium term, considering we have made a lot of investment in terms of productivity, AI and stuff, right? So how does that sort of transition into headcount addition? We have been seeing last, I think, 3-odd quarters, there have been incremental addition. After I think FY '24, there was headcount cut and then in the first half of '25 also, there wasn't much addition. In last 3, 4 quarters, we have seen the trend of headcount addition. So how do you see that number panning out in terms of increasing headcount?

Manish Gupta: So I'll again comment and then pass it on to Suhas. We believe our revenue per employee, which is -- I would guess that it's highest in the industry. We believe securely, it will inch higher, right, which means that we will add employees, but obviously not at the same rate as our growth rate. So Suhas you want to get slightly more specific?

Suhas Prabhu: So continuing on what Manish mentioned, yes, we would continue to see a growth in the number of employees, but the rate of growth of the number of employees would typically be lesser than the rate of growth of the revenue, and we should see that reflecting in a higher realization at employee level.

One of the things that we are doing actively is also investing in talent ahead of the curve given the kind of activity that we are seeing in the deal wins as well as the pipeline that is building out and using this opportunity to onboard people and train them ahead of when we anticipate the revenues to come in.

Moderator: Next question comes from the line of Divyansh Agarwal with Ionic Asset Managers.
Indegene Limited
October 31, 2025

Divyansh Agarwal: Just wanted to get a note on the incremental growth that the company might get, say, in the coming Q3, Q4 and, say, in FY '27? And how much growth are we anticipating from the 2 new acquisitions that we have made? This is my first question.

And secondly -- and the second question on the margin compression. So we will be facing around 1% to 1.5% of margin compression. So are we taking any steps to ensure that maybe, say, in the couple of next quarters, the margin reduction that we'll have, we can make up a bit of that. So that was from my end.

Manish Gupta: Let me start with the last one and go in reverse way. The reason we are making these investments is that we see a market opportunity right now. We believe that while there are -- these investments are being made a bit of ahead of the curve, by growth itself, most of the margins will come back on track.

Beyond that, we obviously continue to rationalize across the board, right? And this is something we have done many times in the past that when we see the market shifting right into positively, then we invest to capitalize on this opportunity. So we believe margins will come back, as I said, in the 6 to 8 quarters. Suhas, do you want to again double click or anything?

Suhas Prabhu: Manish, you have already mentioned, as we have done in the past, while we invest, we also relook at areas that we can optimize while we continue our initiatives on productivity and efficiency. And given our engagement model, which is a hybrid construct of time and material, but a larger construct of catalog pricing or output-based pricing, we believe that we have sufficient levers to be able to impact productivity, which results in better margins for us. And that would be the other lever to get us back into the range that we have been operating in the past, which is around 20% and a little north of that.

That I understand.

Divyansh Agarwal: And sir, just last question, if I could ask is for the coming quarters and maybe for the next year, what kind of growth are you anticipating for the overall business?

Manish Gupta: We don't give guidance. That's something which we have carried on. All I can share with you is that we are seeing the market open up, right, at this point of time. But guidance is something which we don't do. Again, Suhas, do you want to comment on this?

Suhas Prabhu: You mentioned Manish -- Divyansh, again, we won't get specific as we don't give guidance. But we certainly are looking forward to a growth rate, which is higher than what we saw in the past year and even the start of this year.

Moderator: Next question comes from the line of Sameer Dosani with ICICI Prudential AMC.

Sameer Dosani: Just to clarify on this margin piece again. So last year, we did 19.5%, closer to 19.5% margin. So one should think 1.5% decline or there are offsets like this is the gross impact and there will be offsetting cost measures that can help the margin? That is my question number one. And also, -- yes, so this is first question.

Manish Gupta: Suhas, do you want to go ahead.

Indegene Limited
October 31, 2025

Suhas Prabhu: Yes, Sameer, thanks for your question. As I already responded to Divyansh, there are opportunities to offset and we will be acting on those as well. And therefore, there will be potentially some offset, but that would also be progressively through the quarters. It wouldn't -- there's unlikely that the offset would be achieved within 1 or 2 quarters.

Sameer Dosani: And I should take it from FY '25 base, not from Q2 numbers, right?

Suhas Prabhu: From the current quarter, these would be likely impacting us on a go-forward basis rather than maybe the cumulative.

Sameer Dosani: Sorry, like, so the FY '26 margin ballpark guidance...

Suhas Prabhu: For H2 and not on a full year basis.

Sameer Dosani: So H1, we have already done, if I add back the M&A, 19.2%, then one should take 1.5% impact on this 19.2%, which is 17.7%. Second is when you consolidate this BioPharm, right, would you be taking net revenues or gross revenues because that -- yes. And thirdly, I couldn't understand this ACV remark. So 4 deals in 1 million to 3 million range. But 3 million, how many deals have you signed, 3 million plus ACV?

Suhas Prabhu: So the \$3 million plus, it was 2 deals and \$1 million to \$3 million were 4 deals. Hopefully, that clarifies. And Sameer, what was your other question?

Sameer Dosani: Whether we will take net revenues of BioPharm or gross revenues because the net revenues are around lower end?

Suhas Prabhu: Yes. We would -- as per accounting standards, we would have to report gross revenues. However, we would also be disclosing the net revenue.

Sameer Dosani: And lastly, like what you have seen in the past is on the growth side, right, H2 is seasonally

stronger for us in terms of organic growth. So does that things plays out? And also, I think this -- the deal that you disclosed and when I calculate this ACV is around 14 million at least, right? So how does this compare with maybe last year we have done 14 million each in Q1 and Q2. How does this compare versus the last year?

Suhas Prabhu: Versus the previous year, this year has been an increase in the deal closures. It is quite similar to the deals that we closed in Q1, maybe marginally higher.

Sameer Dosani: And seasonally, H2 will be stronger in terms of growth versus H1, that is what you have seen normally and we would be commenting on. So should we see a similar phenomenon this year as well.

Suhas Prabhu: Again, the business doesn't have any specific seasonality, which is material. But having said that, unlike if we were to look at IT services, given our engagement model, we are not impacted adversely by furloughs or lesser number of working days in February and the like. And therefore,

we believe that there's nothing -- and also given the deal pipeline and so on, we don't believe that there'll be anything outside of what we have seen in the past as well.

Indegene Limited
October 31, 2025

Page 13 of 16

Moderator: Next question comes from the line of Deep Shah with B&K Securities.

Deep Shah: So we've seen some growth assumption this quarter. And if I hear Manish comments at the start of the call, it seems that some of the disruption or some of the uncertainties, which are keeping brands on the fence are getting gradually resolved. Now what I understand is whenever there is some disruption, it is that time when we gain the most, at least that's how history has been?

But it, of course, comes with some lag. So if -- I don't expect guidance, but if you could give a slightly qualitative answer about how historically has that conversion been? And do you foresee some of it to come by, say, in 12 months or in 24 months? Some qualitative understanding around this could be useful.

Secondly, as a subtext to this question, the kind of disruption that we've seen in the past, these ones would be pretty small compared to them. Would that be a right assessment? Or these disruptions and these solutions are also materially large enough to change the trajectory for us?

Manish Gupta: I can take a shot at answering this. First of all, typically, what happens is the reason we -- and you should look at our comments holistically. One is about the industry in general, the macro environment, which I spoke about and the very specific things which we are seeing related to our space, right?

The reason we gave this commentary is that there is so much announcements around the pharma industry, right? And of course, if there is massive disruption, right, in at least the short term things come to a freeze, right, in many of these companies. And which is what we wanted to call out that doesn't seem to be the case, that dust is settling down.

Now combine that with a comment I've been making for a very long period of time in our calls that we believe that drug prices are secularly under -- going to be under pressure. right? We made this comment much before any of this thing has started.

And what you are seeing is a validation of that, right? If drug prices are going to be secularly under pressure, companies will have to continue to become more efficient and effective. That plays squarely into our positioning, right? That's where we step in where companies are saying that we will have to decide that they have to run their medical and commercial operations in a much more efficient way, and that's what we offer.

Now tie this to what I'm saying is that we see customers who are slightly -- who are obviously after the huge COVID wave consolidating, they're coming back now to the table in terms of saying how can they move us upstream, how can they get it laid downstream, right?

In IDS, we heard themes like no rep launches, right, all kinds of things. So we're seeing customers now opening up and thinking about where do they take their various strategic digital initiatives in. And of course, AI is becoming another big driver for that because they believe that much more can be done using AI. I hope that answers your question.

Deep Shah: So it gives some context, but I'll probably take it late.

Indegene Limited
October 31, 2025

Page 14 of 16

Moderator: Next question comes from the line of Vijay Menon with Monarch Capital.

Vinay Menon: Just a few things. One is on Tectonic, you had mentioned in Q1, we had closed \$1 million deal. So any progress on that? And have we been able to get more deals on that?

Manish Gupta: Suhas, do you want to take it?

Suhas Prabhu: Yes, Manish. Yes. Certainly. Thanks, Vinay, for your question. So Tectonic even in the current

quarter has clocked close to \$1 million in revenue. And

therefore, for the first half, we've clocked \$2 million in revenue.

The encouraging part with Tectonic has been that in the current quarter, 2 more customers have become paid -- paying customers, though at a very small level at this point in time, but the encouraging part is that from unpaid pilots, we managed to convert 2 more customers into paid projects, but it's still very early with them, but that's an encouraging sign.

And having said that, the pipeline with the 2 customers that we were already having revenues in Tectonic starting last quarter. The pipeline is building up very fast. It's looking very promising. And we are hopeful that in the current quarter, we would be able to close a lot of that pipeline given that a lot of this planning especially for longer -term engagements tend to happen with the planning cycle of our customers.

And in this case, also is Jan to December planning cycle. We are hopeful of those conversions happening by the end of December, if not maybe early January, but for this renewal cycle, these should be the incremental scope of work that we've signed.

Vinay Menon: And one more thing. I just want to ask on the brand activation part. So in Q1, you had mentioned that there was some project deferral and a large project also closed. So any strategy to revive this segment or...

Suhas Prabhu: Yes, Vinay, and the impact of that was partial in the last quarter and continued the full quarter impact in the current quarter as well. But having said that, there's a significant effort on new engagements and so on and we have a good pipeline that has been built up. Unfortunately, has taken more time to close than we anticipated, but there's a healthy pipeline, and we are hopeful to see those convert in the current quarter.

One other thing that I would want to refer to is in the last quarter, we had also mentioned that there was a win for the Brand Activation segment, which has just taken off in the current quarter, but a significant ramp -up will be there in quarter 3, which would partially fill in the degrowth that we are seeing from the project that ended in Q1.

Moderator: Next question comes from the line of Prakash Kapadia with Kapadia Financial Services.

Prakash Kapadia: I just had one question. If I look at the H1 operating cash flow, it has actually improved from INR1.35 billion to INR2 billion. Receivables have come off in first half, and they've been declining as a trend over the last 2, 3 years. So what is leading to this decline? And can they further decline as we move towards the second half and beyond?

Indegene Limited
October 31, 2025

Page 15 of 16

Suhas Prabhu: Thanks, Prakash, for your question. As far as cash flows and more importantly, the AR levels are concerned, there's a bit of a seasonality in our business. Typically, in December, we have a peak in terms of invoices that we send out and that results in a higher DSO, higher AR levels in December. It comes down a little in March, given that a lot of that converts to cash flow with a 60- to 90 -day credit period.

But 90 days sometimes moves into beyond March from a collection perspective and tends to be a little more elevated levels of AR in March, while typically June and September quarters are when these are not as elevated as the other 2 quarters. That's a bit of seasonality on the invoicing and related cash flow that we have experienced in the past.

Prakash Kapadia: But you mentioned typically like the IT companies, you don't see a seasonality as far as revenues go. So why does that seasonality happen in terms of the billing cycle?

Suhas Prabhu: Yes. So to further clarify, while our revenue doesn't get impacted -- from an invoicing perspective, we see a bit of slowness in the July, August period, which is summer vacations in Europe and U.S. And what we have as a practice at Indegene is to get customer consents before we send out the invoices. And th

ese holidays tend to delay it.

But at the same time, there's an acceleration in the invoicing in the quarter ending December.

Many of our customers in December want us to send invoices ahead of their year -end rather than in normal course, which would have gone, say, the first week of the next month, and that tends to elevate or increase the level of AR in December, whereas the reverse happens in the quarter ending September, given that there are more holidays and unavailability of the customer tends to delay the invoicing cycle by a bit .

But that has no impact on the revenue. So there's no impact on the revenue from a seasonality perspective, but there would be an impact on the invoicing and related due dates, which impacts the cash flow.

Moderator: Next question comes from the line of Chirag Kachhadiya with Motilal Oswal Financial Services Limited.

Chirag Kachhadiya: I have just one question. Considering the challenging environment for the pharma sector in the

U.S. and whatever we have witnessed in past 1 year, can you share some qualitative insight, the type of conversations, which are ongoing with the client and the type of solutions, which they are asking and which they were asking a year back or 2 years back? Any change in the behavior in this client pattern or if you share some qualitative insight that would be useful.

Manish Gupta: Sure. So I can start off with that. Actually, the earlier part of my commentary was that there have been a lot of headlines announcements. But over the last few, I would say, months, right? But in general, the uncertainty now on the pharma industry seems to be -- seems to have reduced, right, very significantly. So companies continue to progress with their regular plans.

What has changed is pharma had a super active period for a couple of years during COVID, right, in terms of drug launches, various other things, obviously, digital acceleration. And they

Indegene Limited

October 31, 2025

Page 16 of 16

took -- after that, they went into a phase of slow growth in 2023, if I'm not '23 and a little bit of '24, but they are also doing consolidation of all the activities they had done.

What we see is that phase seems to be over, and they are back in terms of figuring out, seeing and expanding the scope of their centralization and digital initiatives they had taken at a central level, right? Tectonic as a result of that, we see multiple other things happening similar to that level.

We also see companies exploring the potential of AI -driven broader initiatives, right, much more than what we were seeing, let's say, call it, 12 months back. But it's still early days and this industry will be circumspect, but we're seeing many of those conversations. So overall, we see from a demand perspective or quality of engagement perspective, the environment to be much stronger than it was 12 to 18 months back.

Moderator: Ladies and gentlemen, due to time constraints, we have reached the end of question -and-answer session. I would now like to hand the conference over to the management for closing comments.

Suhas Prabhu: Thank you, moderator. We thank all the participants for attending this call and spending your precious time with us. We also appreciate your continued interest in Indegene and such interactions with you. We hope to continue that in the future. And with that, we'll close this call today. Thanks, and have a great day.

Manish Gupta: Thank you...

Suhas Prabhu: Thank you.

Moderator: Thank you. On behalf of Indegene Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2026

(no extractable text — likely a scanned image PDF)

Call: May 2026

(no extractable text — likely a scanned image PDF)